

IN THE HIGH COURT OF JUSTICE
FAMILY DIVISION

Royal Courts of Justice
Strand, London
WC2A 2LL

Date of hearing: Friday, 23 February 2024

Start Time: 10:32 Finish Time: 15:55

Before:

MR JUSTICE MacDONALD

Between:

NADIA ZAHMOUL

Applicant

- and -

KARIM ZAHMOUL

Respondent

MR B MOLYNEUX KC (instructed by **AFP Bloom Solicitors**) for the **Applicant**

MS A CAMPBELL KC and **MS S-A AMAOUCHE** (instructed by **Stowe Family Law**) for
the **Respondent**

PROCEEDINGS – DAY 4
IN PRIVATE

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(Transcript prepared without access to case documentation)

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MR JUSTICE MacDONALD: Yes, Mr Molyneux.

B

MR MOLYNEUX: Yes, my Lord. Before we resume, I am going to ask for a bit more time.

C

I take complete responsibility for this. It is very important, understandably important to my client that she is satisfied that I have the fullest instructions in relation to a number of the more technical aspects relating to Mr Zahmoul's financial dealings. She has been deeply involved with the preparation of this litigation and she has a mastery of the detail and she is, as I say, very understandably anxious that she communicates properly to me because she does not want the litigation to pass feeling that points were missed or misunderstood or put to Mr Zahmoul in a way that is not clearly consistent with the way she wants the case to be put. And that is my ambition in so far as I can properly do it. I understand that it is unsatisfactory for everybody else because of course everybody else will want me to have full instructions by the time I arrive here at 10.30.

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MR JUSTICE MacDONALD: Yes.

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MR MOLYNEUX: But I do I ask for your indulgence in these unusual circumstances so that

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Mrs Zahmoul feels that she has told me just the final pieces of the jigsaw so that I can come and more efficiently and effectively cross-examine Mr Zahmoul. We have dealt with some very helpful matters outside court and there are one or two other things I know that we can deal with relatively briefly so that Mrs Zahmoul can sit comfortably in her seat, not feeling the need to pass me instructions during the course of cross-examination, knowing that her case will be properly put -- and I do ask for your indulgence. I would anticipate no more than 15 minutes doing my very, very best, and I apologise again.

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MR JUSTICE MacDONALD: Thank you. Ms Campbell?

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MS CAMPBELL: My Lord, I am obviously anxious to accommodate Mr Molyneux, but I am very concerned about the time slipping away because Mr Zahmoul also feels incredibly involved and distressed by this litigation and he is anxious to have his evidence heard and for him to be released. Whilst I appreciate Mr Molyneux is doing his best to assist the court, whilst also representing his client fully, after a short period of time, my proposal will be that Mr Molyneux continues, and if then further time is needed for instructions, that is a matter for them ----

MR JUSTICE MacDONALD: Yes.

A MS CAMPBELL: -- for Mrs Zahmoul and her legal team, but I am anxious that we get on
and I know Mr Molyneux will be prepared in any event to carry out his cross-
examination, so I am happy to allow a short period as asked for, but then I would urge
B that the court press ahead and if further time is needed at the end of the cross-
examination that Mr Molyneux is prepared for, then at least you will have heard a good
part of Mrs Zahmoul's case, and if she wishes to add to it, then that is something we
consider once we have got through the lion's share of the evidence.

MR JUSTICE MacDONALD: Yes. Thank you. A final 15 minutes at this stage, Mr
Molyneux. Thank you.

C MR MOLYNEUX: Thank you.

(A short break)

MR JUSTICE MacDONALD: Yes, Mr Molyneux.

MR MOLYNEUX: I am very grateful for that. So is my client. She asked me to thank you.

D MR JUSTICE MacDONALD: Yes.

MR MOLYNEUX: We are now good to go.

MR JUSTICE MacDONALD: Thank you.

Mr KARIM ZAHMOUL, Resumed

Cross-examined by Mr MOLYNEUX (Cont'd)

E Q. Mr Zahmoul, good morning?

A. Good morning.

F Q. I want to ask you some question about your Portuguese tax returns. We touched on it
yesterday. We are going to expand upon those questions today?

A. Could I ask a question?

MR JUSTICE MacDONALD: Well, just let us listen to the questions that Mr Molyneux has
and we will take it from there. All right.

G MR MOLYNEUX: Could you turn to 701 please -- and are you happy doing the bundles
yourself or would you like some assistance?

A. I am happy to do them myself.

H Q. Got it?

A. Yeah.

Q. Fine. Do you have that to hand?

A. I think so, yes.

Q. So 701, click at the bottom of that page?

- A. Yes.
- A Q. This is an extract from your 2022 tax return ----
- A. That's correct.
- B Q. -- in Portugal. And although there is no annotation at the bottom, can you just explain the figure at 952, or indeed the run of figures at 952, so line 952, which is the penultimate line.
- A. I can try.
- B Q. Yes, go on?
- C A. So the only two figures that I can explain are the €6.6 million and the €1.53 million. The €6.6 million is the distribution of the Coinbase shares. So in Portugal, as was explained in the two Ilia(?) memos, I believe, the distribution from Topanga Canyon to myself is considered a dividend, which is why it benefits from a potential tax exemption, because as a NHR, non-habitual resident of Portugal, dividends that I receive from any entities in the world are exempt in Portugal from taxes -- should be exempt from taxes, and capital sales are not. So, while I receive -- in the US it would be considered taxable from 75 to the price at which I sell it, in Portugal, the distribution is what crystallises the tax basis for the receipt of the shares. So, when the shares were received in April 2021, I know here it says January, but it is April ----
- D Q. So, why does it say January then?
- E A. Because my accountant messed up. He said it in the letter. He made ----
- F Q. Messed up in this tax return?
- G A. This is the tax return that... So, in Portugal -- I think he explained this in the letter. He explained exactly what happened, and he said he made a mistake when he transcribed the investments and has no consequences on the tax return for the tax authorities. So what he did here is he -- 6.6 million is the number that matters with the tax authority -- is receipt of an issue of value of the receipt of the shares when I received them on April 14, 2021. And I sold them in September 2022. So, he put 12/22, which is the fiscal year that matters in which you sell it. And I sold it at \$1.7 million, I think \$74 a share. So this generates, as you can see, the acquisition. It says "*aquisição*" at the top, it means purchase. And "*realização*" means the realisation of the shares. So you sold them for 1.5, you bought them for 6.6 -- and this is kind of the tax benefit that I discovered when I moved to Portugal that I could have on the shares. I had no idea when I arrived there, and actually the first person who mentioned it is at the FDR is Judge Pocock.
- H

- A Q. That is the one thing you probably cannot talk about.
- A. Okay, fair enough, but he's the one who alluded to that. And so it was a dividend that was -- it was considered dividend, but there is a risk that if an audit occurs in the next four years, people would think that I have received something that should have been taxed in one jurisdiction. It wasn't taxed in the US. It wasn't taxed in the UK. So if Portugal was to do an audit, they would say effectively it is a bit aggressive not to be taxed on something like that, which is why my accountant and I decided we should keep the money in escrow for a period of time before we can release it so that -- because if I get audited in the next three or four years as an NHR, the tax authority could say, well, you bought it at 75; you were taxed nowhere in the world. You basically generated €1.7 - €1.5 million; therefore, there is a 28 per cent capital gains tax on that investment.
- B So right now, today, what I have is I have a capital loss. And this was discussed quite extensively with Nick Warr. So, this is the explanation of that line. I could not tell you what G01 is, what 840 is, what 952 is. I think my wife it seems can tell you better than I can. I don't know what it is. I haven't Googled it. I really don't know. I trusted my 20-year Deloitte tax auditor to file my taxes with this information.
- C D
- E Q. So at the moment, you are saying that you have got the benefit of a tax asset, which is that loss of 5 million at 28 per cent?
- A. Correct.
- Q. So, potentially going forward, an advantage to you of what, 1.4 million on future gains?
- A. 1.5 million? No. 5 million. I have a ----
- F Q. A tax asset, is it not, because basically on the gains you make in the future, they will be tax-free. You will not be paying 28 per cent on those ----
- A. Correct.
- Q. -- for the next 5 million. So in your hands, that is quite a valuable thing, is it not?
- G A. No. I don't know. Maybe it is, maybe it isn't. I have no idea. I have more assets, so It is difficult to understand how ----
- Q. We can probably agree on this. If you make money in the future, which is your aspiration ----
- H A. Made money?
- Q. Please listen. If you make money in the future, which is your aspiration, that is a valuable asset to have, is it not -- the tax asset being a loss of 5 million to offset against future gains. It is worth having, is it not?

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A

A. Okay, so I believe in my section 25, what I said is that I don't know where I am going to be in the future. So it depends where I am. If I am in Portugal in the future, and I have a capital gain in the future, then potentially there is a benefit. It does not apply to real estate. It does not apply to many other things. So, I don't know. I could not tell you if this is a tax asset I am going to be able to monetise. And as was stated, It is also -- there is also a risk that in the next four years, if I get audited, that this tax asset could just evaporate.

B

Q. I am not criticising you for not being able to sell in the future, but perhaps we can agree on this. That is potentially a valuable asset to you because it will enable you, if you make gains, to offset those gains against this crystallised loss?

C

A. If I am in Portugal, potentially it could happen, yes.

Q. And you could, I suppose, have just put \$75,000 as the acquisition price and then you could have paid tax at 28 per cent, and everybody would have known where they stand and you would not have had to keep this money tied up in escrow because you would have paid it, I guess?

D

A. Say that again.

Q. You could -- because the actual acquisition cost was \$75,000. So you could have put \$75,000 as the acquisition price. You could have put €1.533 million euros as the sale price ----

E

A. (Inaudible) could have put this in this form. Is that your question? I don't understand your question.

F

Q. Well, you need to wait to the end of the question and then you will know what it is and then you can answer, okay? You could have put \$75,000 as the acquisition cost. You could -- because that is what it actually cost you -- you could have put the actual sale price and you could, in light of those two metrics, just paid the tax which is arising on that capital gain, rather than mixing and matching dividends, which is obviously income-related, and a capital gain which is a capital gain?

G

A. I don't think so. If you say so, you must know more than my tax accountant. I don't know. I generally don't think I could have done that. We are talking about a 20-year Deloitte partner who filed my tax return. who believes and who's been articulating from the beginning of the proceedings that potentially receiving shares in-kind from an LLC in the United States is considered a dividend for tax purposes in Portugal.

H

A

Q. Does he say that? Look at 3532 because he seems more sceptical than you are about it and perhaps as sceptical as I am.

MR JUSTICE MacDONALD: What page?

MR MOLYNEUX: 3532, please.

B

A. Yes.

Q. 3532, he says:

C

“In line with previous communications, the allocation of shares in Topanga Canyon has been processed as a dividend, taking the distribution-based value as the acquisition cost. Consequently, the 2022 tax return reflects a capital loss of approximately 5 million euros, which offset other capital gain resulting in no tax liability for that year. It should be noted, however, that there exists a risk that, upon review, the tax authority may reassess the treatment and impose a 28% tax on the capital gain calculated from the original acquisition cost of the sale price, which is estimated to be around 460,000.”

D

And all I am saying is you could have avoided all of this complexity simply by paying tax on the basis that it was 75,000 as an acquisition and 1.5 million as a disposal?

A. That was not his advice.

E

Q. That was not his advice. In the same page there, while we are looking at it, 3532:

“Upon reviewing the records, I note two oversights I made.”

These were oversights that Nadia identified.

F

“The incorrect entry of the acquisition date for Coinbase of January 2020 instead of the actual date of April 2021, and the omission of details in the foreign accounts table. These errors do not affect the tax return calculation or the filing outcome.”

G

This is the question I want to put to you. Nadia has discovered during these proceedings that often when material is not produced, there is a malign reason, she would say -- that you were trying to deceive her.

H

A. Mmh.

Q. And she sees in your failure to produce that accounts table identifying what your accounts are as the same malign intent. Are you prepared, over the weekend, to obtain the accounts table and disclose it to his Lordship and to us?

A. Accounts table?

Q. So, you will see there:

IN PRIVATE

A “Upon reviewing the records, I noticed two oversights I made, the incorrect entry and acquisition date for Coinbase shares instead of the actual date and the omission of details in the foreign accounts table.”

Okay. Because what I understand at 3529 ----

A. Mmh.

B Q. -- what he is talking about -- at 3529, he said there, two paragraphs up:

“The only additional reporting obligation is to identify foreign bank and/or brokerage account numbers so that tax authorities, when receiving information from foreign tax authorities, may cross-reference information received under the CRS legislation...”

C MS CAMPBELL: I am not catching up with you and I do not think the witness is.

MR MOLYNEUX: I am so sorry.

MR JUSTICE MacDONALD: Where are we?

MR MOLYNEUX: 3529.

D A. I am there. I am just looking for the answer.

MS CAMPBELL: Sorry.

MR JUSTICE MacDONALD: Which paragraph, Mr Molyneux?

E MR MOLYNEUX: It is the penultimate paragraph. “The only additional reporting obligation ----

MR JUSTICE MacDONALD: Yes.

MR MOLYNEUX:

F “... is to identify foreign bank and/or brokerage account numbers so tax authorities, when receiving information from foreign tax authorities, may cross-reference the information received under the CRS legislation and the information on the tax return.”

And, Mr Zahmoul, returning to 3532, which we were looking at ----

G A. So this was ----

Q. It references the omission of that table, and my question to you, so you are clear, is: will you produce that table over the weekend so that his Lordship and we can see that table?

A. I would be glad to produce it.

H Q. Thank you.

A. But let me understand, you are not very clear on what table he wanted produced -- not very clear in the sense that what he produced the year before, so every year prior to '22, where he forgot to produce it, to put that bank account number. The account that was

A

put in in '20 and '21 was the UBS account number that ends in 3060. Now, he also says in that same letter that it has no consequences except you have a statute of limitation for the government to come back and look for these accounts. So it was -- it is an innocent omission by him to do this. Now, what is different -- what Nadia failed to disclose in her US tax return is the FBA form, which is the financial bank account disclosure.

B

Q. You are going off piste, because this is not what I am asking?

A. I understand, but this is criminal in the United States not to disclose this.

Q. This is not what I am asking about.

A. I understand.

C

Q. I am going to return to my question, which I think you have answered?

A. I would like to because we asked ----

Q. This is not a debate, okay?

A. Okay.

D

Q. I ask the questions; you answer them, and if I step out of line, his Lordship will tell me and I will be quiet. You have already confirmed that you will produce VAT accounts, over the course of the weekend.

E

A. I will ask my accountant to produce what it is you are asking because I am not totally clear what it is you are asking. Honestly, I am not clear.

Q. Just so you are clear, okay ----

A. Yes.

Q. There is a statutory obligation, apparently ----

F

A. I will ----

Q. Please listen. Do not interrupt.

MR JUSTICE MacDONALD: Mr Zahmoul, this is going to take a lot longer if you try and jump in ahead of the question. All right?

G

A. Yes, my Lord, but he is being very (inaudible)

Q. We need to be -- again, because I need to take a note and understand all this, I need to wait for the question before I get your answer.

A. Fine.

H

MR MOLYNEUX: So, we are clear, Mr Zahmoul, your accountant says that there is an obligation to produce a table of bank accounts so that that can be cross-checked in accordance with international requirements. He also goes on to say, on the page we have just looked at, that the VAT table has been omitted from your tax return. I am

A

asking you to obtain that over the course of the weekend from your accountant, and I think your answer was that you would do that?

A. I would like to get it in writing from you, please.

MS CAMPBELL: I will get the exact description from Mr Molyneux, and then we will pass it on to the ----

B

MR MOLYNEUX: I am very grateful.

A. Thank you.

MR MOLYNEUX: Thank you very much.

C

A. I would like -- if possible I would like to clarify something I said yesterday, my Lord, because this is similar to what he is doing here and I would like, if possible, with permission, to clarify something.

D

MR JUSTICE MacDONALD: Well, clarification comes in re-examination. The function of re-examination is for your leading counsel to ask any questions that she thinks need clarification. So that is the point of re-examination.

A. But I can't speak to her.

Q. Sorry?

E

A. I am not allowed to speak to her.

Q. No, but -- can we just get on, please, Mr Zahmoul.

MR MOLYNEUX: Mr Zahmoul, I just want to ask you some questions about the distribution of these Coinbase shares to you before we actually look at the Coinbase disclosure itself. Could you look at 651, please? So this is the point that has been troubling Nadia, and I want to try and deal with it briefly because I think you will have an explanation. 651. Do you have it?

F

A. I have.

G

Q. This is a cut and paste from an email which you sent on 9 April 2021, and it was shortly before the distribution of Coinbase shares from Topanga, distribution in-kind of Coinbase shares from Topanga. You needed to set up someone to receive that, a brokerage account in which to receive it. And you see there the brokerage name is Forte Security, the account is the Bank of New York, account number 672938, broker contact name "settlement team". If you look at 732, you will see what happened when you sold those shares?

H

A. Yes.

A

Q. Then at 732 you will see that there is an email address to Fadi Kassis at Forte Securities Australia, PTY Limited, Suite C, 38 Swacken(?) Drive, Sydney. That is then forwarded on to (inaudible) who are apparently listed as based at Forte Securities Limited in Great Pulteney Street in London.

B

A. Mmh.

Q. Nadia is concerned that the shares were distributed to a New York brokerage account with Forte and yet they were then sold through your friend/colleague, Fadi Kassis at Forte Securities ----

C

A. No.

Q. -- Australia, and she does not understand, and I am asking you to explain to his Lordship, why they were distributed to New York, they were sold out of Australia, the proceeds then came through London before ending up back in New York. What is the explanation for that?

D

A. So, there was a risk that if they were in the UK, they could be considered UK *situs* and potentially be taxed in the UK. And Andrew Gammon(?), who is my accountant here and who Nadia has talked about yesterday, thought that it was better to keep the shares outside the UK. So Fadi Kassis -- Forte Securities is UK based, but It is FCA regulated, but has offices in Singapore, in Australia. And so he opened an account for me in his Australian branch where he held the shares for me in custody or in my brokerage account with him there. So, we went through a KYC process and on September 15th, I instructed him to sell the shares. You see the tickets here. The proceeds, I guess, of the shares -- this is a US stock, so it is in dollars. And he -- It is (inaudible) I think, for the shares to settle. And I instructed him to wire the proceeds of the sale to the Bank of Jackson Hole to repay the mortgage, which is what he did. Now, how his back office and how all the stuff is set up within his firm, I don't know.

E

F

G

Q. Nadia does not understand why, if the purpose was indeed to try and take the United Kingdom out of the loop ----

A. Yes.

H

Q. -- we see the proceeds being wired through a Barclays account in Great Pulteney Street. Look at 652, you will see the transaction to which I am referring?

A. Yes, sure.

Q. Could you just look at that page and then provide your explanation to his Lordship?

A. 652?

A

Q. 652. It is the very bottom of that where Nadia says in the category which is described as “issues with the alleged transaction” ----

A. Okay. Wire transfers?

Q. “The wire transfer ... 1.624 million received into the respondent's Bank of Jackson Hole account ... 8909, distinctly cites the originator as Forte Securities...”

B

A. Sorry, where is it?

Q. Sorry, it is 652?

A. Where?

C

Q. And It is about two-thirds of the way down, starting with “Issues under the alleged transaction”, which is paragraph (d)?

A. Yes.

Q. And then (i) starts:

D

“The wire transfer credit in the amount of 1.624 million received into the respondent’s Bank of Jackson Hole account ending in 8909, distinctly cites the originator as Forte Securities Limited ... Golden House, Great Pulteney Street, rather than Forte Securities New York. Furthermore, the wire message indicates that the front and centre of correspondent banking relationship with Barclays Bank, 1 Churchill Place, London implied the need for a foreign correspondent to execute a foreign currency exchange to US dollars.”

E

And then we see the reference.

“This transactional flow...”

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-- she continues,

“... along with the inductive quote, which is not a sales confirmation that the respondent has falsely represented is not commensurate with the liquidation of US securities denoted in US dollars and held in custody in the US with Bank of New York Mellon, raises questions as to whether the respondent may not have liquidated the shares.”

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I know your answer to the question: have you liquidated the shares, because you have just said that you liquidated the shares. But why were they transferred through the United Kingdom in circumstances in which you explained to his Lordship that they were in Australia precisely to avoid the jurisdictional pull of London and the possible tax consequences of them touching London?

H

A. Yes.

Q. Why?

A

A. I have no idea. If you want -- if you pose a question, I can ask Mr Kassis to explain this to the court. Where broker dealers have their bank accounts for respective currencies and for safety of the currency, for segregation of assets, I don't know. I can't tell you. But I'd be happy to send him an email and have him provide an answer to the court, if that's satisfactory. And if I may add, it is more in response to what Nadia said yesterday in her belief that I still own the shares, that I did derivatives. You know, this was sold for the cash value of the price trading of the shares on the day of the sale of the shares. It is going to be checked. I mean, they went through the Nasdaq exchange. They were sold. We can get the series of all the transactions that fill the order. And it is, I mean, in my understanding, and I believe in Nadia's understanding, you cannot borrow that amount of cash without (inaudible), without anything, to be able to pretend you have the cash somewhere else, to divide a share or do something like that. The shares were sold. You can trace the money that went to the Bank of Jackson Hole. I don't know. I can't answer that.

B

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Q. So final question in relation to your Portuguese tax returns -- again, something that has understandably exercised Nadia, one might think. The tax returns that you have produced for previous years in Portugal were 18 or 19 pages, whereas the most recent one is limited to eight pages -- and she does not know whether there are other pages that she is being denied sight of. Is that your complete tax return or are there other pages?

F

A. That is my complete tax return. And my accountant can validate this in his answers on Monday.

Q. Could you look at 1807 please? Tell me when you have got there?

A. I am there.

Q. So this is a page which I think you produced in May of 2021 with a view to trying to sort things out with Nadia direct, I think?

G

A. Yes.

Q. And I have just got one point. We are going to return to this document later on, but I have just got one question in relation to it. If you look at five entries up from the bottom, you have got "2014 Coinbase US dollars, 396,021", and it says "Coinbase, and then estimated mark-to-market 2.327 million, mark-to-market ----

H

A. Sorry.

Q. -- 1.790.

A. You lost me.

- A Q. Do you see that line?
A. No.
MR JUSTICE MacDONALD: If you look at 2014?
A. 2014.
MR MOLYNEUX: At page 1807.
- B A. Yeah, 1807.
Q. 1807.
A. Yeah.
- C Q. There is a table that I think was produced by you in connection with discussions that you were having with Nadia to try and sort things out in the spring of 2021?
A. Right.
Q. And you see that, five lines up from the bottom, you have got "Coinbase, 2014, US dollars, 396,021 -- description of structure: Coinbase", "estimated mark-to-market 2.327 million", "tax rate Portugal 0%" and then 1.790 million as the after-tax figure. That was a reference to crypto holdings, was it not?
A. Correct.
- D Q. We will return to that in a moment. Could you look at page 752?
E MR JUSTICE MacDONALD: The reference again, Mr Molyneux?
MR MOLYNEUX: 752, my Lord.
MR JUSTICE MacDONALD: Thank you.
- F MR MOLYNEUX: (To the witness) You will see there, "Topanga Canyon Holdings, LLC, US company, \$75,000" as size of holding, converted into sterling at £53,956.83. Now, I know that there is a lot that you said in relation to this, but I just want to try and see whether we can agree some things. There was no explanation, was there, in relation to this line item in your Form E or the enclosures to it?
- G A. There was ----
Q. I think the answer is no.
A. -- I believe 100 pages of Topanga Canyon documentation. I believe there was a lot of pages on the Topanga Canyon. Or maybe that was in the explanatory? I don't know.
- H Q. In the Form E there was no explanation either in the body of the text or attached to it ----
A. Correct.
Q. -- in relation to this?

A

A. Okay. I'll take your word for it. I believe I answered in the questionnaire on June 24th and provided the US securities offering of Topanga Canyon Investments.

B

Q. We are going to do this very methodically, okay? So, we are going to look at all of the different entries in relation to this. Now, your Form E is dated 15 March. It is not actually dated in the sense that you did not write that in, but we all agree that it is 15 March when that document was produced. We know you knew that Coinbase announced its own direct listing on Nasdaq on 25 February 2021 when its form S-1 was filed. You knew that, did you not, when it happened?

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A. I did not know.

Q. Okay. I think you did, because if you look at 1343, you will see what you said subsequently.

MR JUSTICE MacDONALD: 1343?

D

MR MOLYNEUX: 1343, my Lord.

A. 1343?

Q. Yes. So there you seem to accept -- in fact you do accept ----

MR JUSTICE MacDONALD: Which paragraph?

E

MR MOLYNEUX: Paragraph 24, my Lord.

MR JUSTICE MacDONALD: Yes.

MR MOLYNEUX:

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"I accept that I should have stated on my Form E dated 15 March 2021 that there were discussions/plans for an upcoming Coinbase direct listing (albeit these plans have not been finally confirmed) and for full clarity explained that TCH was a vehicle for holding Coinbase shares."

So, the fact that you say there that you should have said in your Form E ----

G

A. Yeah.

Q. -- that there were plans for a forthcoming listing ----

A. Yeah.

Q. -- shows that you knew about the announcement of the forthcoming listing on 25 February?

H

A. No, that does not mean that.

Q. Explain?

A. Okay. So, this goes back again to my clarification I wanted to make for yesterday.

Q. Just answer this question, please.

A. I am trying.

MR JUSTICE MacDONALD: Yes. Just answer the question.

A. What does that mean?

Q. Say what you want to say.

A. Ah, okay. So, this was a move to Morocco, right? So, my father passed away. She filed for divorce. I got a letter from Withers on January 21, 2021, which I hope you can -- I mean, I ask you please to find the page in the bundle of the letter that Ms Diana Parker sent me to threaten me that basically we had to go to court on the 7th, when Nadia said, oh, she absolutely does not want to do that. She wants to make sure that the UK stays as a jurisdiction for this divorce. On the 28th, I responded -- of January. Then I was in Tunisia after my father's passing with my sister. I had all the things on my mind for my father's inheritance and everything else and, you know, taking care of my sisters as well. And I realised then that Nadia was not going to stop and wanted to go through a divorce. So, I basically had to get ready to do everything, find a lawyer. I was not allowed to spend much time in the UK. I had just gone to Portugal, and that is when I had found out, to clarify what I said yesterday, that there was this deadline that was coming for my pension. And that's when I rented this apartment after advice from Deloitte in Portugal. And that's why I rented this apartment in early February in Cascais. And then I left -- that was the year before, sorry. And then I left in '21 so... Sorry, apologies. So I was dealing with the Form E with Andrew Gammon(?) and I was... Yes, so I decided to leave Tunisia with my sister and go and essentially isolate myself in the middle of nowhere in the place called Dakhla(?) in Morocco. And I wasn't -- I mean I was trying to deal with what was going on and it was coming on me. And I hired Stewart's law firm. On March 31 I switched to HFC after advice of Amy Stebbing, the wife of the doctor that my wife had an affair with. And this is when I -- I... I mean, I was doing all of this at the same time and I wasn't focused on the specific when was Coinbase going to be listed. I had much bigger issues in my mind, which is why I wasn't sure ----

MR MOLYNEUX: Mr Zahmoul ----

MS CAMPBELL: Let him ----

MR MOLYNEUX: No, no, no. I am not being discourteous at all?

MR JUSTICE MacDONALD: Quiet. I am in charge ----

A. There is a lot of context.

IN PRIVATE

MR JUSTICE MacDONALD: I am in charge of this courtroom.

A. Sorry.

Q. When I speak, no-one else does. Am I clear?

A. Right.

Q. I am asking you to pause because Mrs Zahmoul is plainly in distress. I am going to rise now while Mr Molyneux deals with that.

(A short break)

MR JUSTICE MacDONALD: Yes, Mr Molyneux.

MR MOLYNEUX: Thank you. Mr Zahmoul, before that interruption I was suggesting to you that because you say in the statement that we just looked at that you should have disclosed your knowledge about plans for the listing, that you must have known obviously on 15 March 2021 when you produced it for me that there were plans for listing and you were answering that assertion?

A. So, the statement that I made on May 17 was late because of ----

Q. March.

A. I believe I made the statement in May 17, 2022 that ----

Q. All right.

A. Is that not right?

Q. Definitely right.

A. I wrote this statement and it was late. I delivered it late -- one of the few things I delivered late throughout the proceedings -- because I had a very serious problem with my lawyers at the time. When I found out about the listing that was going on for sure was on April 9. Okay. That's when I knew that it was going to happen a week later. While Coinbase had announced many times the fact they were looking to do direct listings or go public, it never really materialised and anything could happen -- whether it could or could not happen. I knew there would talks in December. They messaged it with CV, with that it could happen, but I wasn't sure. When I filed my form E, I put 75 for Topanga Canyon and you know on April 9 when I discussed it with my solicitor at the time, I have a very clear recollection of the call and it's paragraph 3 -- I believe paragraph 3 of the May 17 statement. No.

MR JUSTICE MacDONALD: Paragraph 4, I think.

A. Yes, I think that's right -- where I had a call with Caroline Park, and I told her there was this listing. She asked me, "What is the quantum?" and I said to her that it was between

A

70 and 100 times. And she was puzzled by the amount. And then she basically -- I said I disclosed Topanga Canyon on my Form E. And she said to me, and again, this is privilege, obviously -- it is privilege, a conversation ----

Q. If it is privileged, then you should not be saying it?

B

A. Well I am ----

MR JUSTICE MacDONALD: The difficulty, Mr Zahmoul, is if we get into waiving privilege, we then get into how much privilege is waived.

A. I understand.

C

Q. And it becomes very complex.

D

A. I believe I said it. So as I wrote in this paragraph, I believe I told her. She told me we have so much work to do on answer to *Imerman*, and questionnaire that she said it has to wait until after this is done. And there was -- I mean, there's a lot of information behind that. I have shared it with my other solicitors. I guess it is -- without waiving privilege, that's all I can say now. In my Form -- in my statement, I also stated that I was superstitious until it happened. Until it crystallises for me it was not an asset that I could value at that price. As you can see from the crypto assets, I mean, I should have had in my Form E, the fact that crypto assets would grow to \$60,000. I could have had... These are things that were moving by humongous amounts every day. So, it was not -- you know, it was an omission that I corrected before the FDR. I was ready to correct it on July -- I was ready to actually exchange on July 4, and it was -- Nadia wasn't ready to exchange.

E

F

Q. I am going to stop you there ----

A. Okay.

G

Q. -- because we are running into other territory, and I want to try and do this a little bit methodically, without doing any injustice to your case. I should say it is right, is it not, that your -- because you referenced paragraph 4 -- your solicitor has got no recollection at all of that conversation.

H

A. That's what they -- that's what they said. Actually, that's not quite right. My solicitors don't have -- they say they have no recollection of the quantum. They don't say they don't have any recollection of the conversation, which is... you know. But I was very, very clear, and actually, there's a WhatsApp that was shared. I sent the WhatsApp to my solicitor on April 9, the K-1 that arrived on April -- on April 9 it arrived to me. The

A

2020 K-1, which stated that it was worth 75, which was the only tax document that I had that showed what the valuation was. And from a tax perspective ----

Q. Mr Zahmoul, wait for my question, which I have not asked.

A. Okay.

B

Q. I just want to focus on what you have just said, which is about your conversation with your solicitor, as you recorded in paragraph 4. You say:

C

“I recall that I told my solicitor about the listing during one of many calls we had in April, shortly after instruction ... first appointment ... I understood the correct time to deal with updating disclosure ahead of the FDR, which I did ... the disclosure of data that it should have been, but for Nadia and me the intense amount of the *Imerman* document review and my replies to questionnaire....”

Then you continue:

D

“It was difficult the calls to my solicitor were mostly fraught and difficult. I was struggling with the divorce. However, I have to accept my solicitor had neither a record or recollection of this information from then, and whilst I am not waiving privilege, I want to apologise to the court and to Nadia for this.”

E

So it is not just the quantum, is it? They did not have a recollection of any of that conversation about listing, according to you. Correct?

A. No. According to me, they had a -- we had a conversation. It is very clear, according to me.

F

Q. Yes, but they had no recollection of that. You just told his Lordship that the evidence should be, or the evidence is, that they did have a recollection of you telling them about Topanga and Coinbase; what they did not have a recollection of was the precise quantum of what that might be worth. Whereas here, they seem to be saying that they have no recollection of any of that?

G

A. No.

Q. That is right, is it not?

A. No, It is not right.

H

Q. Well, according to what you said there, it is right?

A. Yes, according to what you say that it is right.

Q. Fine. I am going to ask you some questions, reasonably quick-fire because you can tell me whether or not I am wrong about this and it is a number of assertions. At the time that you deposed to the truth of your Form E on 15 March, you knew pretty much every

A

detail of the listing which was in the public domain except for the listing price. That is right, is it not?

A. No.

Q. You knew, did you not, that Coinbase had done private placement rounds earlier in the year, which pegged the valuation at between \$200 per share and \$343 per share.

B

A. As I shared with Nadia, with Tiger Global I knew that things were happening, but I was not focused on this when this was going on. Remember the context, right? I was going through a divorce that was sprung on me in February. I had to get ready with the Form E between February 28, switched lawyers, was in Morocco, did not meet lawyers. It was during Covid. I was in the middle of nowhere in the -- in the Sahara in Morocco for being on my own so that I did not infect anyone what was going on in my life. So no, I wasn't -- I am sorry to say that I wasn't following the day-to-day -- what was going on with the market and the shares.

C

Q. And you knew, did you not, that two days after you produced your Form E, so on 17 March 2021, Coinbase had made a regulatory filing that valued the company, according to those previous transactions, at around \$68 billion ahead of the planned stock market listing?

D

E

A. (Indistinct response)

Q. You knew that in that filing, Coinbase had said that its stock in the private market had traded at an average of \$343 per share in the first quarter of 2021. You knew that, did you not? It was a buoyant market.

F

A. Look, I mean, you're imputing things that I knew on me and I don't believe that is correct.

Q. You knew that on 1 April, Coinbase announced in a press release that trading would commence on the Nasdaq on 14 April, 2021, because you were keeping a close eye on these things, were you not?

G

A. From Morocco, from the Sahara in Morocco, you think I was keeping a close eye on this. You think while I was ----

Q. That is what I am saying?

H

A. -- while my life was falling apart with my divorce and my wife, after I bought a house in Wyoming, after my father passed away, after I was dealing with my children, my wife alienating my children from me, you think I was focused on Coinbase. Okay. Fair enough. I mean, look, if you think that then ----

MR JUSTICE MacDONALD: Well ----

MR MOLYNEUX: Let me just give you some evidence.

MR JUSTICE MacDONALD: Let me stop there. Being petulant in your answers ----

A. Okay.

Q. -- is not going to help you. Saying, well, if that's what you think then ----

A. Sorry.

Q. That does not help me, because I need to know what your answer is, all right? Now, what has been put to you is that you knew the things that Mr Molyneux has said you knew. What is the answer to that? Did you know or did you not know?

A. No, I did not know. Did I know that something was happening with Coinbase?

Q. Yes?

A. Potentially. I mean, not potentially. I knew that there were talks about them going -- potentially going public. But like it happened in the past, many things can happen in the market, and I did not know for sure, which is what I explained in the statement. I believe I wrote in the statement that, you know, I am superstitious. I did not want to do this. You know, there's a similar situation right now with this -- with this art exchange called Artex, which is valued in the secondary market. They're doing fundraise at 600,000. I put 50,000 euros. And in my last disclosure, that's what I explained, but I can't access it. I don't have access to this market. I can't sell my shares. They were held in Topanga Canyon, and I wasn't even sure that Topanga Canyon was a genuine vehicle because of -- and this is what I write also in the statement, in my May 17 statement, that my friend Mike Deeg, for which I invested through Coinbase -- you know, when we invested, we never had any feedback from them. We never spoke to them. We were not even sure if this was a real transaction. There are screenshots on my WhatsApp with him and his wife throughout the year where we are trying to get updates from Steve Young at Vas Venture, I think it was called, to get updates on Coinbase, and we were not getting them, and this is not unusual, so it wasn't 100 per cent sure.

Q. Okay, thank you.

MR MOLYNEUX: So Mr Zahmoul, the idea that at the end of March, the beginning of April, you were semi-detached; that you were not engaged to what was going on with Coinbase, is not true, is it? Look at page 650, please.

A. 650.

Q. This is an extract, but it is copied. Do you have it.

- A. Not yet, but I am nearly. Yeah.
- A. So this is an extract from your disclosure that has been copied.
- A. 650?
- Q. 650. It is been cut and pasted into a D11 that Nadia issued. Okay.
- A. Where?
- Q. It is halfway down (c) which says:
- “On 6 April 2021, in preparation for the in-kind distribution of shares, the respondent was asked to provide information on his securities brokerage account.”
- C. And then this is an extract of the material that you were required to produce.
- A. Yes.
- Q. And then on 9 April, you provided --
- D. “... the required information on his US-based brokerage account referencing Forte Securities and Bank of New York Mellon DTC clearing number ... custody account ... as follows...”
- And then overleaf, we see a copy of 9 April. At the beginning of April, at the end of March, you knew very well that things were progressing, Mr Zahmoul, to a ----
- E. A. So ----
- Q. Please listen -- that things were progressing to a flotation, did you not?
- A. I knew. I guess I responded to the email on 9 April. The 6 April, which was the day before the FDA, if -- you know, so I was not focused on what was going on in receiving these emails. I missed the first email which was sent, I believe, in March. I missed it.
- F. And I responded to this email on 9 April to provide my details of my custody accounts. I believe that's what she's saying here I suspect.
- Q. So look at 881, which is the day after you received that 6 April email requesting ----
- G. A. 881?
- MR JUSTICE MacDONALD: 881, yes.
- MR MOLYNEUX: (To the witness) So this is the asset schedule which was prepared. It says by the right at the top. Have you got that?
- H. A. Yeah.
- Q. In very, very small print.
- A. Yeah.
- Q. If it is easier to see it on a screen, I am sure we can provide a screen for you

- A. No, no, I can see it.
- A Q. Okay.
- A. 881 on 7 April, yeah.
- B Q. 7 April. If you scroll down to the bottom: "Topanga Canyon Holdings, LLC, US Company." Do you see that? It is in the bottom box of private equity. It is the fourth line item down. \$75,000, 54,000 sterling. Keep going across that line. And the narrative there is "some in capital account K-1 2019, HS 7.109% shareholding, question mark." "Company", "business, unclear."
- C A. Yes.
- C Q. It was wrong, was it not, for you to allow that presentation to be before the judge. I know that was prepared on behalf of Mrs Zahmoul, but it was wrong of you not to instruct somebody to say this is actually misleading. It is not 75,000. In fact, only yesterday I received an email about my brokerage details so that I could have a
- D distribution incline from Topanga because it is going to be floated and it is probably going to be worth billions and billions of dollars of which I have got a fraction. That was wrong, was it not?
- E A. So as I just explained before, On 6 April, I did not know this. The Form E -- it was my first Form E that I have ever done. It was the first time, you know, I went through this process. I had no lawyers properly. I mean, I just instructed new lawyers. I was dealing with, you know, everything I have said before, so I wasn't focused on this. I am sorry. I mean I apologised in my statement. I am really sorry that happened. But I wasn't trying
- F to hide this from Nadia. On April 14, I even sent a text to my daughters, who I know were going to share. Nothing is going to my daughter without my wife seeing it, saying, "Remember this day. This is going to be an incredible day." I was planning to tell them that this had happened. But I was trying to get an engagement from my wife, in any
- G way, shape, or form -- to have her engage with me since June, since the day she served me. And there was absolutely no engagement. On this day, I did not know. On the 9th I knew, on the 9th I spoke to my solicitors, and I was unfortunately misguided. But, you know, we can open a ----
- H Q. So, Mr Zahmoul, do you take... Because I am going to be saying to the judge next week that this failure to make proper comprehensive disclosure has led to such distrust and such costs that it cannot be ignored and that when you say that Nadia is to blame for the

A

position that everybody is in, that that is unfair. That is going to be the submission. I want to just contextualise the question.

A. Okay.

Q. Okay. And so I want to know whether or not you think that this was a bad error of judgment, putting it at its kindest.

B

A. Clearly. I mean, it was a bad error of my part to have done this, and I apologise for this in my May 17 statement. However, I have explained everything. I have been transparent on everything. I have offered so much information so many times. I have complied to every court order. I have offered to meet anybody, anytime, anywhere, any place that she wanted, herself or her parents or anyone she wanted, and she has refused.

C

Q. We are going to explore all of that?

A. Yes, I mean ----

D

Q. We are going to explore all of that, but for the time being, let me ask you another question. Did you know that there had been 16 funding rounds, but I am going to say any number of funding rounds, in relation to Coinbase and very significant stock prices.

A. So this is the email of 2018, on October 2018 that Ms Campbell went through with Nadia yesterday. Not only did I know, I shared it with her.

E

Q. We will look at the nature of what you shared.

A. The nature?

Q. What is the answer to my question? Did you know about those previous stock price raisings?

F

A. Well, I knew of the Tiger round, but between -- between basically November, my dad's passing, and me going to Morocco and me moving to Portugal and losing the job that I had with Sphere Digital, I was overwhelmed by other things. I mean it is not something I focused on. This is where we are -- you know, this is where the detail, I think, for his Lordship to appreciate is that there was a lot of things going on and I wasn't focused on what was going -- whether Coinbase was going to happen tomorrow or the next day or what the last funding round was. I mean there was a conversation with Silvie Uziel in December. So yes, I was aware that there were things going on in the market but as an investor in Topanga Canyon, I had no access to this.

G

H

Q. Did you really honestly think -- tell his Lordship -- did you honestly think that the true value of your Topanga investment on 15 March, 2021, was as little as \$75,000? Did you really think that?

IN PRIVATE

A

A. So, it is hard to understand. So it is akin to the ArtX(?) exchange that we just went through exchange of financial information. I put it on my form on November 8 at €50,000 euros, which is what I invested in. They just raised money at €660,000. So I still put it at 50,000 euros because it is not available to me to access that liquidity. So if it is not liquid and I can't access it, how can I put it at a value that is -- what.

B

Q. So rolling back from the analogy, just to focus on my question, did you really think -- please tell his Lordship -- on 15 March ----

A. Yeah.

C

Q. -- whether you thought that the true value of your interest in Topanga was as little as \$75,000.

A. I felt that the value that I should report is the value that was on my tax return because that's how I have reported most K-1s in most investments that I had.

Q. Fine.

D

A. And so it was GF5(?) that was reported like this. This was reported. I mean, this is what I thought. I thought that was the right way to do it.

Q. Okay. We will move on?

A. It was obviously a mistake and I apologised for it.

E

Q. We will move forward in time. 14 April 2021. Coinbase lists on the Nasdaq. And on the same day, Topanga LLC makes a distribution in-kind, a dividend has been presented in the Portuguese tax returns of 21,872 shares with a value on that day of \$7.059 million. That is all uncontroversial, is it not?

F

A. (No audible response)

Q. I am going to ask you to look at page 838, please, in the bundle?

A. 838?

G

Q. 838. These are your replies to questionnaire, and they are dated 24 June, so we are now two months -- over two months passed flotation: Coinbase, IPO of Coinbase and the distribution of shares to you. And at 838 ----

A. Yes.

H

Q. -- you are asked for a schedule listing the initial acquisition date and amount of all investments listed at section 2.4 of your Form E and any other investment in which you had an interest, whether in your sole name, in joint names with another, in the name of a nominee holding funds for your benefit, or in the name of an entity which you have an interest, since 1 January 2019, and you attach a table. I think that table is at 884?

- A. Yeah.
- A. And on that table at 884, you do not mention Topanga at all?
- A. Right.
- Q. Why was that?
- A. Mistake.
- Q. A mistake?
- A. A very bad mistake, yes. And I think it was addressed in communication between HFC and Withers. And it was not just the only -- actually there was a few omissions, but if you recall, Mr Molyneux, the response here was associated with 1,500 pages for the questionnaire and 3,700 pages for the *Imerman*. Now ----
- Q. Mr Zahmoul ----
- A. -- it was a -- it was a -- I mean, look, I am so sorry and I obviously regret it. I mean, it has obviously cost me and cost us as a family a tremendous amount of money and grief and upset. So I am -- obviously I would not do it like this. I made a big mistake of judgment, but I believed that I was under -- I was genuinely under the guidance that we would disclose it at the next financial exchange. That's why I did not do it earlier.
- Q. So an error in relation to that question and an error in relation to that table, okay? Could you look at page 843, please? Question 3.5.
- “In so far as the Respondent has not already provided documentary evidence of his investments and their value [my emphasis] please can he do so?”
- And then it says: “To include...” and it lists some of the investments. But just focusing on the first bit,
- “In so far as the Respondent has not already provided documentary evidence of his investments and their value, please can he do so?”
- Your reply:
- “All of these investments and their value have been explained and evidenced with the Respondent's Form E.”
- That was not an honest response, was it?
- A. You're correct. It was not honest and it was not honest when you put it in this context. I mean, this is something that my solicitors do. Obviously, I was providing the information. As I said, I was overwhelmed with what was going on, and I am so sorry

A

that it happened. I mean, it was not me trying to hide it from Nadia or keep it to myself, and I am sure we are going to get there. So I apologise.

Q. Mr Zahmoul, just to press that a little bit more ----

A. Sure, sure.

B

Q. -- I want to ask one more question. I mean, of all the stuff that is in the 4,500 pages this is probably one of the most vanilla, most straightforward questions and aspects of the case. It just says,

C

“In so far as the Respondent has not already provide documentary evidence of his investments and their value, please can he do so.”

It could not be clearer what is being asked. What was going through your head when you failed to say “that \$75,000 asset, which I put in my Form E on 15 March, has floated a month and a half ago, and it is actually worth \$7 million plus” -- 7 and a half by this point. Why did you not say that in those terms?

D

A. Because we were planning to say that at the financial disclosure, which we were ready to do as soon as we filed this. This is why in my head it was okay not to disclose it here, and to disclose it when we were going to do the financial disclosure. And every time I brought it up with my solicitors, they were saying, “Let's finish this, let's finish this, and we will do it in updated financial disclosure.” That's unfortunately what happened.

E

Q. Mr Zahmoul, I am going to be saying to the judge ----

A. Okay.

F

Q. -- on Nadia's instructions, that there was a more malign ----

A. Okay.

Q. -- a more dishonest intention. I will just explore that with you, okay, so you have the chance to put your case. Can you look at 1808, please?

G

A. 1808.

Q. 1808. We have been looking... I will wait while you get the page.

A. Yes. This was without prejudice, by the way.

Q. Well, so many questions have been asked about so many documents that have been ----

H

A. Yeah, okay but

Q. -- without prejudice ----

A. -- (inaudible due to over-speaking) and the conversation with her father was also without prejudice but -- and he's a lawyer in Morocco, but okay. Let's go through it.

A

Q. Okay. 1808 at the bottom of that page. We have been looking at events in March, we have been looking at events in April, we have been looking at what you said in your replies to questionnaire in June -- and this is 6 May. And this is an email from you. And this is you. ----

B

A. To Bill Hewlett(?)

Q. Yes. This is you suggesting mediation, is it not, because you said, "Bill, please find the asset list Nadia's lawyer put together based on the Form E..." -- which is the one that we looked at previously.

C

A. So Bill Hewlett is definitely without prejudice, right? I mean, this is a -- okay.

Q. Well, no-one has taken that point, so I am going to press on. 1808, a letter from you to Bill Hewlett -- an email from you to Bill Hewlett.

D

"Bill, please find the asset list that Nadia's lawyer put together based on the Form E and the process so far. I suspect this will be required for the next steps. Please advise what else you need and what the next steps are for mediation."

A. Yes.

E

Q. That is 6 May and I think you enclosed the asset schedule which we looked at before, which was the one that had 75,000 as the Topanga figure, so it was prepared ----

A. By Mr Rainer(?).

Q. -- for the first appointment?

A. By Mr Rainer.

F

Q. By Mr Rainer, yes. On 17 May ----

A. Yes.

Q. -- at the top of that page we see another email, this time from you to Nadia. This has got the subject "In case you are serious."

G

A. Mmh.

Q. "Please find the split of the numbers as I see it." There was an asset schedule or a list of assets which was attached to that?

A. Yes.

H

Q. We see that at 1807 ----

A. Yes.

Q. -- which is the description of structure and the various assets which you have got in there. And you continue.

A “Clearly all the numbers have changed, but we can walk through section by section and agree or not to split it all 50/50. I have done the exercise ignoring taxes as this is too complicated a task for me to do. The bank accounts can be split 50/50, no taxes. All the investments I think I should buy you out at an agreed value and pay you when I can subject to tax consequences. The pension we should split and separate out so you have your pension and the minor tax consequences of that will be defined for each of us separately when we draw on them. Let me know when you can/want to discuss. If this goes to lawyers, then you are not serious about resolving amicably amongst us and you are just looking to cause her harm.”

B

C Now, I am going to be saying to the judge next week that this is one of the most important pages in the 4,500 pages of material?

A. I agree.

Q. Because what you are doing here is setting the parameters for a negotiation. You understand that, do you not? That is what you are doing. You are basically setting out your stall for a negotiation.

D A. Okay.

Q. Yes.

A. In truth, I mean I don't agree with that, but I will explain.

E Q. Well, if you do not agree, then tell the judge why you do not agree, because that is my question to you.

A. Because when Nadia served me on June 3rd, the nice letter you read yesterday, I sent her a spreadsheet of the assets. I just begged for her engagement from the get-go so we could agree to do this amicably. And never did she engage. Not a single time. There was, you know -- we had -- I went to see her father in Morocco. That's why I moved to Morocco for some time. From February to May I saw her father seven or eight times. This was to try to basically reason her so we could do this with the least possible damage to our assets. And not a single time did she mean it. She was just foraging through my stuff. She was stealing my phones, putting -- I found a phone under her bed, You know, so it was just, while she was doing this, all of this was sneaky behind my back while I was at home. She took a computer I gave to Lila May. She claims it was a (inaudible)

G

H Q. Mr Zahmoul ----

A. No, I am trying to give you context. Can I please ----

MR JUSTICE MacDONALD: Mr Zahmoul, can we just come back to the question?

A. Yes.

A

Q. The question was ----

A. Yes.

Q. -- were you by this document seeking to set the parameters ----

A. No, I was not.

B

Q. -- of the negotiation?

A. No. I was not seeking to set. I was always, to everybody that I have spoken to -- actually there's a letter from Evelyn and Sal Gargano who actually say that they knew about Coinbase when they were trying to engage with Nadia.

C

Q. What were you trying to do in relation to ----

A. I was trying to get an engagement from her so that we could try to do this with the least possible damage to our assets. I was trying to, you know, get her to agree to our assets. I believe that she knew about Coinbase and we have gone through this through Ms Campbell yesterday. I have never looked to hide my Coinbase asset. She had said yesterday she did not connect Topanga Canyon to Coinbase. I am sorry, I believe that she knew the connection, but she's saying she does not. Okay. You know that is what she says.

D

E

MR MOLYNEUX: Mr Zahmoul, can we just focus on this document here? If we look at 1807 ----

A. Yes.

Q. -- you reference Coinbase or your Coinbase investment?

A. No, no. Yes.

F

Q. But the Coinbase there is not Coinbase stock at all?

A. Correct.

Q. The Coinbase there is cryptocurrency?

A. Correct, correct, correct.

G

Q. So when you were dealing with Nadia, that was an interchangeable term. Please listen, that was an interchangeable term, Coinbase and crypto?

A. Not at all.

H

Q. You do not say here. "Coinbase actually means cryptocurrency." You just say Coinbase.

A. Not at all. This was a document that was prepared on June 3, 2020, the day she served me. This document that you just... This document here, this is my document I prepared for her ----

Q. Yes.

A

A. -- it was prepared on June 3, right? On June 3, I omitted to put Topanga Canyon. It is my mistake. And I wrote to her and I said, "This is work in progress, let's just talk to each other." June 3, 2020. And I told her, "Nadia, we should go to St. Bart's, get divorced in a friendly way, invite our daughters, invite our friends, do the same thing that we did for our wedding, and show our daughters that we can do it in a civil way."

B

After she served me, she gave me that letter. So this was for her to engage on June 3rd, 2020, not a single time. She went through my stuff, took all the pictures of Olivia, showed them to my daughter. It was -- we were -- I mean it was a toxic relationship in Wyoming. And she did all of this and never asked a question about the spreadsheet that

C

I sent her. In February 2021, my friends Sal Gargano and Evelyn were trying to mediate. They knew about Coinbase. They sent her the same spreadsheet to get engagement. She refused to engage. She was not engaging. She was just, I mean, I guess, trying to cause harm. I mean trying -- I mean, I don't understand how... You know, I have offered.

D

Q. We are ranging off from the question I am asking you.

A. We are not, I am asking... Okay, sorry, I apologise if I did, but I don't believe I did.

E

Q. I am going to try and draw these threads together to try and bring you back to ----

A. Yes.

Q. -- May 2021. I think this is common ground, okay I am going to put some things to you and you can tell me whether you agree with this. You thought that Nadia suffered from PTSD, did you not, because you have told her solicitors that and you have told other people that.

F

A. So I told her solicitors that in February 17, 2022. Correct. This is the letter you read yesterday about ----

G

Q. Yes, and you said that you had read books during the course of your relationship on PTSD and that they were taking advantage of her.

A. Yes, but Nadia did not live with PTSD all the time. She wrote, as you read in her letter, that she served me on June 3 -- we went to Wyoming. So, and to go back to that, we left -- I lived with her from March 13 when I got to London to June 20, when we went from London to the United States after she served me. We went to LA for one week. She asked me to look for apartments in LA because that's where she wanted to live at the time. I looked for apartments. We visited God knows how many apartments with a broker that I found in a week. Then we went to Wyoming, and then we bought this

H

A

house because she wanted to buy a house in Wyoming, where I borrowed -- or we borrowed \$5.72 million to buy a house in Wyoming. I was not looking to get divorced. I asked her not to get divorced.

Q. Mr Zahmoul ----

B

A. So, no. I am ----

Q. Can we just go back to PTSD?

A. Yes.

Q. The question was, did you say Nadia had PTSD?

C

A. Of course. Did I say -- Nadia's on -- I mean you received a letter on July 12 about PTSD, and did I say that Nadia had PTSD? I said that she said that she had PTSD. And I was writing the letter to her lawyer because I had -- I mean, this is what I wanted to clarify, if I can, if I may, but I hope I am not -- okay, so now I can do it.

D

Q. Mr Zahmoul, your presentation has been that Nadia is a vulnerable person, suffers from PTSD, can be taken advantage of, and you were warning her solicitors not to do that. Because that is what you think, is it not?

E

A. No. I warned her solicitors not to do that on February 17, because they represented her on November 17, 2022. And they were ordered by Justice McDonald to do several things. There were things that you, Mr Molyneux, and Judge Koch(?), had made orders that she had to follow through, and by the time we went -- we came on April -- on November 17, 2022, there were reinstated orders to do certain things by certain dates. I filed an application with Ms Knight copying Justice MacDonald because in Bristol that's what my solicitors did. So, I just copied what they did as I was self-representing. because they had done nothing. None of the orders were complied with. Even orders that cost nothing to comply with were not complied with.

F

Q. We are ranging off the question again?

G

A. No, I am not. I am not, sorry. I am sorry. So I am explaining why I wrote this letter about PTSD to Peter Burgess on February 17, a week before he recused himself to the court and dropped Nadia in front of the March 1st hearing. So I wrote that to him because I felt I was despairing that we were burning money so fast after having spent £1.6 million pounds and finding out that my wife had borrowed £658,000 from 280 and a half thousand pounds. This is why I wrote this. I was saying that -- I mean it was exacerbating her situation to be like that and I explained that she had PTSD and she claimed that she had PTSD.

H

A

Q. So let me see whether we can find some common ground in the case -- something less controversial. At the time that you were sending this email, on 17 May 2021, the following things were true, were they not -- and these should be "yes" or "no". You knew on 17 May 2021 that Coinbase had floated ----

B

A. Yes.

Q. -- and that your holding was worth over seven and a half million dollars, correct?

A. Yes. Not seven and a half; it was worth less at the time, I think.

Q. Call it seven million, for the sake of...

C

A. I don't know what the price was on that day, but it was worth more than 75,000.

Q. Mr Zahmoul, it was worth several millions of dollars, was it not?

A. Okay, yes.

Q. You knew that, and you did not point it out to Nadia, did you?

D

A. Correct.

Q. You did not update any figure in any asset schedule. Indeed, the schedule you relied upon for these mediatory discussions ----

A. Yes, yes.

E

Q. -- was a form produced in April with a figure of \$75,000?

A. Yes. Correct.

Q. You used the schedule at 1807, which you forwarded to her again ----

A. Yes.

F

Q. -- for which you did not even reference to Topanga?

A. Correct.

Q. All this is correct?

A. Yes.

G

Q. You suggested in this email that you would buy her out of the private equity investments. And you told her that she should not, if she was serious about having a discussion or negotiation with you, discuss this or take it to her lawyers. All of this is correct, is it not?

H

A. Well, yes.

Q. So if she had gone along with you, she would have ended up ----

A. No.

A

Q. -- or risked -- just wait for the question. If she had gone along with you, she would have ended up or risked you buying her out of the Topanga equity at a figure of \$37,500, would she not?

A. No.

B

Q. Because that was what your asset schedule said.

A. No. Wrong.

Q. This was exploitative and bad conduct on your part.

C

A. I don't believe so. I was trying to get an engagement from Nadia. I was trying to get her to engage with me. I have been married with her 26 years. I mean, she has had how many orders that she has failed to fulfil? I mean, you're having a hard time controlling your client. Sorry to say. I don't know how to express myself, I am sorry, but I did not try to fool my wife. I always told her that 50/50 we could share. Always. I went to her father and said the same thing, but I was trying to get an engagement.

D

Q. Final question before we break for lunch, if that is what his Lordship wants to do. Tell his Lordship how you thought that getting engagement with Nadia would be assisted by misleading her about the figures on the asset schedules you were providing.

E

A. Because I have been with her for a long time and I understand... Look, this was a poorly drafted email. The idea was to try to get any engagement from her so that I could have a conversation with her, and the line about lawyers, there's a precedent email where I told her: "Nadia, let's discuss everything and then you can go to lawyers." The idea is not to have lawyers. I mean, there was no way -- it was not feasible for her to agree anything with me without lawyers in the background, eventually to look at the contract. So it is a poor way to express myself that you're extracting from an email. that basically could not have happened in the time -- we have been here four years. It was very difficult to get any resolution before FDR in any case. So it was clear that this was going to be exchanged. I was trying to get her to engage -- that we would minimise the cost. I was haemorrhaging money. It is very hard to make the money I made. I was very lucky with Coinbase or with crypto, being an early adopter, but all that money went to lawyers. I don't have any of that money. We don't have any of that money.

F

G

H

Q. These proceedings had only been going on for a couple of months ----

A. No, but I was at £100,000.

Q. Listen, listen. These proceedings had only been going on for a couple of months by the time that you wrote this ----

A

A. But you don't understand. You don't understand. This is -- you extract -- you're putting out of context 26 years of a relationship where the -- while we are here today was the fear of my life, that this was going to happen.

B

Q. Anyway, your evidence is, as I understand it, that you thought that her engagement -- tell me whether this is an unfair paraphrase -- you thought that engagement with Nadia would be helped by relying on the figures ----

A. No.

Q. -- that you put in your asset ----

C

A. The engagement with Nadia was to be able to have an open book conversation about everything, but she had failed to do that from the get-go.

Q. So my question to you ----

D

A. So I went and bought a house with her in Wyoming. The banker in Wyoming, Todd Ellington had -- the K-1s had the -- everything was available. We shared everything.

Q. Mr Zahmoul, my question to you which you still have not engaged with -- I am going to have one more go and then that really will be it -- why was that attempted engagement going to be helped by having grossly inaccurate figures?

E

A. Because engagement, Mr Molyneux, is about interacting where you can share information that is not going to be used against you or you can do things.

Q. I understand.

A. That's why. It was very difficult to get Nadia to engage. Okay.

F

MR MOLYNEUX: My Lord, is that an appropriate point to draw stumps for this morning?

MR JUSTICE MacDONALD: Yes. Mr Zahmoul, you are under oath so, like last night, you cannot talk to anybody about your case over lunch. Thank you. 2 p.m.

(Adjourned for a short time)

G

MR JUSTICE MacDONALD: I understand it is quite hot in here. If you want to take your jacket off, please do, because I will not be offended.

MR MOLYNEUX: It is. My Lord, just a moment of housekeeping because I know that you need to rise at 4 o'clock.

H

MR JUSTICE MacDONALD: Yes.

MR MOLYNEUX: I would not have finished today even if we sat until 6 o'clock ----

MR JUSTICE MacDONALD: No.

A MR MOLYNEUX: -- so it would have made no difference in terms of the timetabling. But we did have Monday as a free day (in inverted commas) to facilitate preparation of written submissions and I think submissions on Tuesday so I do not know how you ----

MR JUSTICE MacDONALD: What I propose to do is simply to move -- to complete the evidence on Monday, to allow you Tuesday to prepare submissions.

B MR MOLYNEUX: That was the question.

MR JUSTICE MacDONALD: I will hear submissions on Wednesday and then in circumstances where I am going to be reserving judgment, thereafter you can await my decision.

C MR MOLYNEUX: My Lord, thank you very much. That is very helpful.

MR JUSTICE MacDONALD: Yes thank you.

D MR MOLYNEUX: Mr Zahmoul, before the short adjournment, we were looking at the timing of your disclosure about Coinbase and about the relationship between that and the discussions you were having through mediation to try and resolve everything at the very beginning of May. I will be submitting, subject of course to your evidence, I will be submitting to the judge ----

E A. I did not hear you, sorry.

F Q. I will be submitting to the judge next week, subject to what of course you say in evidence, that your behaviour at the end of April and the beginning of May was not only dishonest in that you did not provide proper disclosure, but was also designed to exert maximum pressure in order to achieve a settlement that you were happy with. I am going to put some questions about that now. Could you look at page 1591, please, in the bundle?

A. Sure.

G Q. Is that to hand? It is a letter on 26 April, so a fortnight after the first appointment, and 10 days before you communicated with Nadia about mediation. It starts:

“Dear Diana, Nadia Zahmoul and Karim Zahmoul: finances.

H “I write regarding the interim financial position. As you are aware, my client transfers 2,000 pounds per week to your client, as well as meeting bills and household expenses plus school fees. Despite this, on the day of the court hearing, and in the days that followed, your client made a number of significant withdrawals from my client's main Barclays account ... 281 and her spending on the credit card is again substantial. My client does not agree to your client transferring

A funds from his accounts to herself. spending from them, or indeed accessing them at all, nor to the credit card expenditure. He will continue with the £2,000 per week transfers for now, despite the sums which your client has transferred from the Barclays account to herself. But he is clear that this sum is both unaffordable and in excess of your client's needs. He has arranged for the US Amex only to remain in place for your client with a cap of \$1,500, and this should be used for emergency purposes only, whether here or in the US.

B

C “Our respective clients have largely been living off capital, mainly deferred share awards from my client's employment with Barclays, since which employment ended in 2014 and there have been significant disagreements over the level of your client's spending throughout this time. The burn rate has become even greater since my client's employment with Sphere Digital LLC ended in January 2020, since which time he has not had any earned income. Since the breakdown of the marriage, my client has tried to appease your client in many ways, including financially, pleading with her to control her spending, largely out of concern for her well-being and that of the children. But he is clear that adjustments will have to be made. The size of these adjustments will, to a significant extent, depend on the legal fees incurred in these proceedings. At present, vast sums are being incurred as a result of your client's unspecified suspicions, although he is clear that he has always shared information with her.

D

E My client notes that a proportionist and sensible approach can now be taken to preserve family funds.”

F What that letter does not say is that you have just received shares worth \$6 million, \$7 million, depending on the rate of that particular day. Do you agree with me that was a significant and misleading omission in circumstances in which you were trying to reduce the amount that Nadia was spending from what you said was capital?

A. Yeah, it's an interpretation, yes.

Q. What is your interpretation?

G A. I was trying to control the haemorrhaging of funds so that we could maximise what we could save. I always try to do... So that's what it was. It wasn't because I was a... I mean, it was segregated. It is not because I made \$7 million on an investment, on asset, that we can just spend that much more. As Ms Campbell articulated yesterday, I was always trying to rein in profligate spending. My accountant had told me many times that we were spending money as if we were billionaires and we couldn't afford the lifestyle that we were having. So I was just, you know, and that's what I wrote there. I was segregating the two things. It was not to me connected as -- that's --

H

- A Q. So you do not agree ----
- A. I wasn't trying to be misleading. I was trying to control the shock of having just purchased a \$5.72 million house in Wyoming, or borrowed \$5.72 million to purchase another house in Wyoming. I have tried to appease my wife to try to progress things in a way that was more amicable, and she had just, you know, cornered me, boxed me to go into these proceedings that have cost us now \$2 million dollars. That's what, unfortunately, you know -- and the guidance I had received was to do this.
- B Q. Mr Zahmoul, this was a fortnight after the first appointment heading towards an FDR in circumstances in which you were seeking to negotiate with her ----
- C A. Yes.
- Q. -- without her lawyer's involvement and you were at the same time reducing the maintenance that you were paying. Do you agree with me that that collection of facts was deeply inappropriate?
- D A. That collection of facts, as you put it, is horrible. It gives horrible optics. But that's really putting it out of context, basically saying one thing and not looking at the overall pictures. But yes, you're going to make that submission, so please do.
- E Q. So page 1600, could we just see what Withers say, because I want you to see whether you agree with the implied criticism in their letter some months later.
- A. Sorry, 16 what?
- Q. 1600 in the same bundle?
- A. Yes.
- F Q. It is dealing with the letter which I think is on the opposite page of 1599 which deals with taking out a loan in relation to the legal fees ----
- A. Yes.
- G Q. -- and which is what you were suggesting -- which is what you were discussing that it is necessary for a litigation loan to be taken out due to significant legal fees, and Withers reply in these terms: "I write in respect of interim finances..." (page 1600):
- H "I also received your second letter of 29 September received ... regarding legal fees which I address in some respects below which I will be responding in substance separately.
- "On 26 April 2021, and in the knowledge that his investment in Topanga had increased dramatically, your client instructed you to write to me unilaterally altering the family's financial status quo stating that this was in order to preserve family funds. I note that

A your client was specifically critical of my client for expending legal fees on 'unspecified suspicions' despite the fact that he was clear that he has always shared information. Of course, this has now been proven to be untrue.

B "Notwithstanding the above, my client has been willing to bear the brunt of the deductions of her personal financial provision. For instance, she sought a litigation loan to fund her legal fees, contrary to your second letter 29 September 2021, but that has been entirely necessary. She has also significantly depleted her own capital assets in order to meet not only her own expenditure, but also that of the girls."

C Focusing on the first of those two paragraphs, do you agree with the implied criticism in that it was wrong of you, having received those monies, to seek to limit her expenditure and that of the children without disclosing that information?

D A. Actually, I did not restrict the expenditure of the children, as can be seen on, I think, one of my exhibits. I'm not sure how much money was spent on the children since the beginning of these proceedings. So I think we were spending money for (inaudible) I don't know the word ----

Q. Profligate ----

E A. And therefore I was trying to control the spending. As I said, we had just borrowed \$5.72 million from the Bank of Jackson Hole, which was the most money we've ever borrowed, and if our objective was to keep those houses and not be forced to sell them, the way we were spending money was not affordable. It was always very difficult with my wife and I to make a budget, and therefore, you know, when my solicitors suggested that we have to do this plan, I went with it. And I don't believe that your -- the optics you're shining on this situation is accurate.

F Q. I have got a few more questions on this topic, which is Topanga and Coinbase, and then we will move on. Could you look at 886, please, which is the letter of 16 July 2021 in which you disclosed the increase?

G A. 886.

Q. 886.

H A. Yeah.

Q. 16 July 2021:

"Please find enclosed by way of exchange my client's updating disclosure. I provide further information regarding Topanga, Coinbase shares investment... Centra (inaudible) Investments held by

A Barclays below. Coinbase shares: As your client was aware at the time (and has been kept up to date since), my client invested \$75,000 in Topanga... this was a vehicle for holding Coinbase shares and was a very unusual venture capital company. Until recently Coinbase was a private company and Topanga Canyon Holdings LLC provided K-1s annually confirming the value of the investment remained at \$75,000, as detailed in the Form E. After a number of false-starts, B Coinbase listed their shares publicly in April 2021. This was clearly a one-off event. Topanga Canyon Holdings LLC informed my client that as a consequence of this, the Coinbase shares had to be transferred to a new investment account held by him personally. The market value of these shares is now c\$5.28 [million] as per the documents enclosed. If these were to be liquidated, my client would C incur a Portuguese CTC (at 28%) on the gain."

Why did you wait until two working days before the FDR to make this disclosure.

A. Because I was -- I think as was stated in my statement of 17 May 2022, it's because Nadia was not ready to exchange on July 4. That is why I waited because it had to be -- D how do you call it, we had to exchange and as you have seen, there was never -- nothing was delivered on time.

Q. You make so many criticisms of Nadia for being late, for not complying with things, for not conducting herself in relation to this litigation in a way that would minimise costs. E Do you take any responsibility for the inevitable problems, as I would put them to you, that will arise by making this type of disclosure two days before a court hearing designed to reach settlement about everything? Do you take any responsibility for that too?

F A. Of course I take responsibility for not disclosing it earlier. I have apologised. I take responsibility, but you're putting it out of context, so it is a bit... It is unfair, but I clearly take responsibility for not having done it early.

Q. Mr Zahmoul, if you want to tell his Lordship the context, tell him the context that makes G that anything other than wrong.

A. But it was... So I am confused. We were doing an exchange of financial disclosure and my lawyers had been chasing with us to exchange financial disclosure since July 4. Now I understand that I should have disclosed it much earlier, but I didn't and the reason H it wasn't earlier than the 16th and the FDR was on the 20th was because Nadia was not ready to be sooner. And what happened in between -- on July 9 and July 13, we had a mediation call with her tax advisor, Nick Warr, where Nick Warr tried to settle with everything. He agreed to basically: I take all the real estate in America -- she takes,

A

sorry, all the real estate in America, and I keep everything else. And I said no. So, you know, I wasn't looking to short-change her. I was just, you know, following protocol.

B

And again, I was not in the UK, didn't have proper lawyers. I mean, I had proper lawyers, but I wasn't engaged with them properly. I didn't understand the process. I didn't understand anything the way I understand it now. So it is been a very, very expensive lesson.

Q. So, I am going to have one more attempt at this, then we will move on.

A. Okay.

C

Q. In April, HFC write the letter that I took you painstakingly through, in which

maintenance is to be reduced and in which criticism is made of Nadia for what are described as "the vast sums being incurred as a result of your client's unspecified

suspicion." That is 26 April. You know by this point that there is a seven and a half million asset that has crystallised that no-one is referring to in any of the papers, okay?

D

And then on 16 July, a couple of working days before the FDR, you make that disclosure

and you justify it to his Lordship now in terms of: "Well, I was ready to exchange, but she wasn't, so we didn't." Can you see that where there is culpability here for the

E

inevitable waste of money and increasing costs during this period and to the FDR, that sits with you.

A. It's a point of view, and I respect your point of view.

Q. But is it a point of view that -- because this is your evidence rather than my ----

F

A. I don't agree with you.

Q. You do not agree.

A. I do not agree with you. I was following clear guidance from my solicitors. I was

chasing them to exchange. They were waiting for Nadia to be ready, and that's why we didn't exchange. I did not know that you could just give before... I did not know you...

G

I mean I'm a lay person, and you're trying to impute like the sophistication that you have on me, which I don't have. So I don't -- I did, you know, and I made a mistake, not disclosing earlier. I am sorry I did that. You know, I think I have paid a pretty significant cost for it.

H

Q. That is a price that you now seek to lay at Nadia's door because you say that ----

A. But she should ----

A

Q. Please listen. You say that she should be paying over a million pounds of extra costs. So where there has been increased costs, you are saying to his Lordship, as part of the orders that you seek, that Nadia should bear that responsibility. Do you think that is fair ----

B

A. Yeah

Q. -- looking at this on the whole?

C

A. Well, I think that she bears the brunt of the responsibility for not engaging, or never engaging. We came to FDA on April 7, and Nadia got a costs order against her. We went to... She filed for an application for an LSPO on August 19 and it was dismissed because she filed it 7 days instead of 14 days, not giving us a enough notice and not following the FPR rules. I mean, I don't know what to tell you. To me, there was never an intention for her to settle or to progress constructively as per the FPR rules. All she wanted to do is cause harm and pain and hurt, to not communicate. She was saying that -- you know, the way to solve -- I mean, we've been told by Judge Koch many times, by Justice MacDonald several times, that it would be better for us to negotiate with ourselves. I wrote letters to her to do this. I have attempted 27 times that I have provided in my conduct statement, response to the conduct statement, of the times I tried to reach with her so I could have a proper engagement. She has never engaged a single time, ever. She started accusing me of bullying her after telling me I was the most generous and nicest person in the world. And then she started accusing me of bullying her and contempting(sic) her, which was coming out of nowhere just because, you know, for a year -- she premeditated this for a year. She had seen Diana Parker, as she told you yesterday, on January 20, 2020, and she lived with me and she was foraging through my stuff. I mean, doing things that were totally improper, trying to figure out everything that happened. She asked me: oh, you had an affair with Olivia. I want to know everything you spent on her. The day she sent me that, I sent her a spreadsheet of all my American Express cards and what I spent on Olivia. I mean, I responded to everything she asked for, and she has not done anything that was asked by me, by the court, I am assuming by you each and every time.

D

E

F

G

H

Q. Please look at 888.

A. Sorry, again?

Q. Please look at 888.

A. 888.

A

Q. It is a letter from Withers on 16 July, so it is the same day that that disclosure is received?

A. Yes.

Q. And they describe in the first two paragraphs:

B

“It is monstrous to receive barely 48 hours before the FTR this updating statement from your client. It is equally monstrous to be fully aware of his blatant non-disclosure.”

A. Yes.

Q.

C

“Your client has been bullying my client by turning off financial taps, by pushing her into mediation ... and to write aggressively and disparagingly about the alleged history of this marriage this afternoon adds insults to injury.”

D

Those are fair criticisms, are they not ----

A. I don't think so.

Q. -- about you?

A. I don't think so.

E

Q. Look at what the response to that letter was. 19 July, 890 and 891. Your solicitors accept in that first paragraph on 890:

F

“This case has been coloured by your client's very early and repeated allegations of non-disclosure before going on to say no basis for these allegations has ever been offered and so this issue can now be put to bed because your inquiries of my client's replies comprised of four transactions which my client has now promptly evidenced.”

Then on the next page at point 8 at the very bottom of 891:

G

“Topanga Canyon Holdings Coinbase shares: this has increased in value since the Form E and ... received on the 9 April by circa 5 million before tax. Again, if your client is concerned, please explain the concern regarding this account.”

H

Do you agree with me that the tone of this is an improper tone in circumstances in which you accept that you have not made the disclosure that you should have done, and indeed you apologised for to the court?

A. Actually, Mr Molyneux, I don't know if you've read from the documentation I signed that I have delivered to the court, I suffer from ADHD, and all the words, all the language that was used by you in several hearings and by the letters by Withers were

A

extremely, extremely aggressive. And there was communication from HFC to Withers several times of letters that did not need to be this aggressive. And you know your job better than I, but it is very, very, very offensive and it is part of the same, you know, desire that Nadia has to hurt. And so she was looking to hurt, to viscerally hurt, as opposed to work -- to work on... It's a divorce, to try to move forward. And I was not trying to take assets from her.

B

Q. Mr Zahmoul, I want to try and put this in context, because ----

A. Yes, yes. That is ----

C

Q. -- I do not understand that response. This is a run of correspondence where Nadia has discovered, following you attempting to mediate, following you reducing the amount of maintenance that you are paying to her, and following you producing an asset schedule in connection with that mediation that has inaccurate figures, and where she has been saying all along that she does not trust your disclosure -- this is a run of correspondence that follows on from that, in which you have now disclosed the uplift of \$7 million in relation to Topanga/Coinbase. When Withers say: this is monstrous behaviour, this should never have happened, the response that your solicitors write on your behalf is to first of all say -- "... been coloured by your client's very early and repeated allegations of non-disclosure and no basis for these allegations ever been offered." And at the bottom of that page, to say "It's increased by \$5 million before tax, if your client is concerned, please explain the concern regarding this account." Nadia sees this as the gaslighting. You are telling her something that she can see is obviously wrong. Do you not agree with that?

E

F

A. No, Mr Molyneux, I don't.

Q. It is your language -- your solicitor's language ----

A. It's not my ----

G

Q. -- here that is aggressive ----

A. No, it's not mine.

Q. -- and unhelpful?

A. I don't agree with you, Mr Molyneux.

H

Q. Okay.

A. The letters -- you have to have the merit and the benefit of reading all the prior letters, of reading... Like I said, we got in front of Judge Koch. She served a costs order. We got in front of Judge Koch again and all others. She again, you know, penalised Nadia. So

A

it was not me. It was from the get-go that she was looking to hurt before there was Coinbase or anything. She was just looking to harm.

Q. Well, this judge will be in a position now to look at all of the evidence and come ----

A. I hope so.

B

Q. -- to a determination in the light of all of that. So we will just move on. There are a couple more questions before we draw a line under this. You say 1343 -- this is your explanation for what has happened. Could we look at 1343, please?

A. Yeah.

C

Q. You say at paragraph 25 on 1343. "I approached the Form E disclosure exercise for the interest ----

A. I am sorry. I misunderstood.

MR JUSTICE MacDONALD: 1343 paragraph 25?

D

A. Yeah, I know, but I'm trying ----

MR JUSTICE MacDONALD: All right.

MR MOLYNEUX: Do you have it? Paragraph 25?

A. Mmh.

E

Q.

F

"I approached the Form E disclosure exercise literally and the investments I held at the time and had always since 2014 was in Topanga Canyon Holdings and the annual K-1 which I received referred to this. The most recent K-1 was the only documentary evidence in support of value I had at the time of the Form E, and was disclosed and that value referred to, in section 2.4 of my Form E."

G

So this is a literalist approach that you are touching upon there. So you paid 75,000. 75,000 is in the K-1; therefore it is worth 75,000. But the value of your other private equity unquoted investments is explained and qualified in your Form E. Could you look at 751 please?

A. 751.

H

Q. I am going to be saying to the judge that this literalist approach to valuation only seems to apply to Topango. Because if you look at 751, you will see in relation to the Kopako(?) Fishing Company, a Panama Company ----

A. Mmh.

Q.

IN PRIVATE

A “125 shares I purchased for a total of \$433,000. The company owns spotting rights on land in Panama, tapping(?) the land will cost 15,000. Previous offers have been received for between 30 and 50 per cent of the investment. I therefore consider the value as 40 per cent of my original investment.”

B If you scroll down the page, in fact go over the page to Hydra, 753. There is a question at the end of this. Hydra Group Limited:

C “50 shares in Hydra, which in turn own shares in an Ethiopian pharmaceutical company.” You say £26,978, 37,500 dollars. For the recent stated earning value, my shareholding is 75 per cent of my investment, which is 50,000 after deduction of fees.”

And then 753 again -- 754, the top of 754:

D “ArtX AG, 100 euro ordinary shares, a Liechtenstein company, 500 shares equating to 0.17 per cent of the class of A common shares, 42,735. This reflects what I paid for the shares in 2020 and remains my view of the current value.”

E So with all of these private equity interests, you were able to apply a critical judgment to come up with your estimate of what the current value is, except for Topanga, where you were adopt this literalist approach of just saying: well, I paid 75,000, it is 75,000 in the K-1, I am going to put 75,000. It does not stack up, does it?

A. I don't agree with you, Mr Molyneux.

Q. Why not?

F A. Because GF Agro was not so clear. Also I didn't have much information, as I told you before, from Topanga. This was done in the space of four weeks, three weeks, this Form E.

Q. You knew, Mr Zahmoul

A. And -- sorry. I hadn't finished.

G MR JUSTICE MacDONALD: Yes, go on.

A. Sorry, I lost my train of thought.

MR MOLYNEUX: Are you sure, because I do not want to interrupt you.

H A. Well, you have. So, Root AI was not there. There's nothing there. I am trying to show you that you're not quite correct on everything you're saying. Bitwyre, Kinass(?) is a charitable investment. This is where you ----

Q. Mr Zahmoul, where do you ----

A. Upside Energy(?).

A

Q. Where you looked at these and you had some view on value referable to other criteria, you applied that, did not you? And you tried your best to ----

A. Because they were ----

B

Q. Listen. You tried your best to attribute a value to those other equity interests, which wasn't just what you paid for. That only really applies to Topanga. Why was that?

A. It's not correct. I mean, the... ArtX, I just told you, I put the same price here, 6,500 shares, at £42,000; it is worth... €600,000 now on the secondary market or on the last round fundraise. I've announced that. You know I didn't do that. I just put the initial numbers I just ----

C

Q. Mr Zahmoul, look what you said about ArtX there. You say €50,000. "This reflects what I paid for the shares in 2020 ----

A. Yes.

D

Q. Just stop there ----

A. This was just done ----

Q. Please listen. You say: "This reflects what I paid for the shares in 2020 ----

A. Exactly.

E

Q. -- and remains my view of the current value."

A. Yes, it was just ----

Q. So you applied a critical eye to that to come up with a figure.

A. No, I just had invested. I was just -- it was a recent investment. One was 2015, the other one was 2020 investments. All the others were much more recent investments.

F

Q. Look at 1384 for me, please

A. Sure.

Q. This was July 2020.

A. Yeah.

G

Q. And this is running into Steve at a party. Steve, I think, was someone who had introduced Mike Deeg and you to the Topanga investment.

A. Correct.

H

Q. And you say: "A friend ran into Steve at a party the one night she was in San Francisco last year", says Mr Deeg. And you reply:

"Woke is a slang term. It is easing into the main street from some branch into the dialect of the African American Vernacular English, A-A-V-E. Awake is often rendered as 'woke', as in, 'I was sleeping

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when I woke.’ ‘Woke’ is increasingly used as a bio for social awareness.”

Mike Deeg then returns to the question about Steve. Sorry, you then return to the question about Steve because you say, “Who?” “Where she asked him if the investment was fake” and you say, “Better not be.” And you say “better not be” because you knew that this was a very valuable investment in an underlying Coinbase, did not you?

A. No.

Q. You did not know that.

A. No, I did not know that. There was actually -- if you go back, a couple of -- there were two, you know, over the years because this was -- Mr Molyneux, this was an investment where we never had an update. I think we had an update one time and it was not like a venture capital investment where every six months we have financials where you receive stuff from the company that manages investment. This entity that Mr Yang was running was, as you can see, there was -- and I think I mentioned this in my May 17 statement, Mike initially thought that maybe it wasn't a serious outfit that was providing the investment, so I wasn't sure.

Q. So your sworn evidence is that right up until March 2015 ----

A. No.

Q. -- your best estimate -- just listen -- is your sworn evidence in your evidence to the judge, okay ----

A. Yes.

Q. -- that your best estimate of what this investment was worth in March 2021 was \$75,000.

A. Okay, I think I explained this in my May 17 statement.

Q. Just tell the judge, please.

A. What my best estimate of this investment was?

Q. Whether you thought, on 15 March 2021, that this investment was worth \$75,000.

A. Mr Molyneux -- judge, sorry. What I thought is that this investment, until it is realised, it's worth \$75,000, until it is realised. “Realised” means that I get the shares, and I can sell the shares, and they're mine. Until such time, it is not worth more than \$75,000, the investment I made in it. That's what I believe, that's what I firmly believe, that's what I have always believed -- and that's why I believe in this ArtX situation, and in Cornish Lithium and in all the private -- the venture capital investment I made, and many friends that work in the industry and in finance, you know, will have this approach to be rather

48

Marten Walsh Cherer Ltd

A

conservative until the investment is realisable. And this was my belief and my view to be a conservative investor.

Q. Well, Mr Zahmoul, I am putting to you on Nadia's behalf that is a dishonest presentation?

B

A. Okay.

Q. Just finally look at page 866, please?

A. 866?

Q. 866.

C

A. Yes. Is there any chance I could go to the bathroom?

MR JUSTICE MacDONALD: You would like a bathroom break?

A. Please.

MR JUSTICE MacDONALD: Yes. I will rise for five minutes.

(A short break)

D

MR JUSTICE MacDONALD: Sorry, I left my laptop in my room.

MR MOLYNEUX: My Lord, this is probably a helpful intervention because there is a document which -- it is a letter, so it is passed between the person from HFC to Withers on 2 July, which I wanted to put to Mr Zahmoul ----

E

MR JUSTICE MacDONALD: Yes.

MR MOLYNEUX: -- and it is not in the bundle.

MR JUSTICE MacDONALD: I see.

F

MR MOLYNEUX: So I do not know how to deal with it because I have got the one copy which is on this laptop, but it is important and relevant to this topic before we move on.

MR JUSTICE MacDONALD: Well is it the best way then for your laptop to be handed to the witness?

G

Q. Please.

MS CAMPBELL: Or I am happy for it to be read out, my Lord.

MR MOLYNEUX: If I could read it out and then ----

MR JUSTICE MacDONALD: All right.

H

MR MOLYNEUX: (To the witness) So it is a letter from HFC but I am going to move across if I may so I can share it with you Mr Zahmoul.

MR JUSTICE MacDONALD: Yes.

MR MOLYNEUX: It is a letter dated 2 July, Mr Zahmoul, 2021. It is from Hughes Fowler Carruthers to Diana Parker at Withers and it starts,

A

“Dear Diana, Nadia Zahmoul and Karen Zahmoul: finances.

“I write generally and in response to your letter on 30 June.

B

“Given the sheer number of our client’s bank accounts and the fact that the statements provided with his Replies are up to date, I do not propose providing updating disclosure in addition to this, particularly given the costs involved, save for up-to-date statements for my client’s crypto currency accounts, as there has, of course, been significant movement in the value of crypto currencies since my client’s Form E. On this basis, my client is content to proceed with the private FDR without your client updating her disclosure also. Please confirm this is agreed.”

C

Mr Zahmoul, you were proposing -- sorry, I should say that again. You were proposing, contrary to what you were saying earlier, that the private FDR should take place without any updating disclosure, in which case there would have been no disclosure at all about the \$7.5 million of additional wealth that you generated through Topango. That is the truth, is it not?

D

A. It is not.

Q. So how do you explain that letter in which your solicitors on the 2nd ----

A. No.

E

Q. Please listen. How do you explain that letter on 2 July in which your solicitors are saying to Withers: let's do the FDR, but let's not have updating financial disclosure?

A. I can't explain it. I don't know. I don't remember this letter, but I guarantee you that I never was -- it was never the case that... I have recordings, I have all kinds of things that shows that's not the case. I am happy to share them, but it was never the case not to share this investment with Nadia.

F

Q. So you cannot explain that letter.

A. Well, it's just a letter you're reading out It's not even in a bundle. I mean, there's so many letters I would like to share with ----

G

Q. Mr Zahmoul ----

A. -- but I am not. Okay. Cut me off.

Q. You cannot explain this letter in which you also ----

H

A. Not like that.

Q. -- are saying that there should not be any disclosure.

A. I don't believe -- I don't believe that that -- it has to have a context.

Q. Any updating disclosure in relation to that.

A

MS CAMPBELL: From your client?

MR MOLYNEUX: No, from either party. I will read it again. I understand it is unsatisfactory?

B

MR JUSTICE MacDONALD: It is unsatisfactory because I cannot actually see the letter or the context of it?

A. Exactly.

MR JUSTICE MacDONALD: I think what I would rather do is have the letter produced so that everyone can see it and then the questions can be put.

C

MR MOLYNEUX: I will do it in that way. I am going to say it is an important letter, so I want Mr Zahmoul to ----

MR JUSTICE MacDONALD: Yes, well we can come back to it.

MR MOLYNEUX: We will deal with that on Monday and we will make sure that the correspondence on either side is also before Mr Zahmoul, so you can see it in context.

D

MR JUSTICE MacDONALD: Yes.

MR MOLYNEUX: (To the witness) We are going to move on. So, an aspect of Nadia's case, which you will understand, is that there are large amounts of undisclosed capital, she believes.

E

A. Undisclosed capital?

Q. Undisclosed capital. She described it variously as a second balance sheet in her section 25 statement?

A. Mmh.

F

Q. I want to ask you about this so that her case can be put to you. Could you look at 3297, please? So, with your Lordship's permission, this is going to be a rather narrative question, which at the end I am going to invite Mr Zahmoul to comment on. I want to put Nadia's case to you.

G

MR JUSTICE MacDONALD: I just want to make sure the document is before the witness. Do you have that?

Q. Yes.

H

MR MOLYNEUX: Have you got it? It is the AG tax memorandum which was prepared for you in April 2021. For what it is worth, it is headed: "Form E tax queries, final note." And 3297 -- Mr Zahmoul, I am going to put this whole thing to you, okay? And then I am going to ask you to comment on it because I want you to understand what Nadia's broader case is?

- A** A. Yes, yes.
- Q. 3297. It says at the very bottom, paragraph 1,
- “All Karim's assets as of the 31 December 2004 when he first became UK resident of clean, immutable capital.”
- B** A. Yes.
- Q.
- C** “We are advised that all Karim's and Nadia's US property investments were funded from this source. Between 2004 and 2005, and 2017 and 2018, Karim earned £19.9 million gross, and paid £8.5 million tax at source and via assessment, and spent approximately £8.9 million, leaving a £2.5 million reserve of clean capital. During this period, his UK tax income, clean capital, exceeded his UK expenditure. Also during this period, he received offshore untaxed earned income of £1.35 million from Barclays Capital offshore earnings, and an unknown quantity of offshore investment income and capital gains.
- D** Some of this he remitted to the UK and paid UK tax thereon by the Liechtenstein Disclosure Facility (the LDF).
- “After 2016 to 2017, Karim ceased his employment at Barclays Capital and his UK income was unable to keep pace with his expenditure. In 2018 to 2019, he earned 228,000 and spent 942,000, reducing his remittable clean capital reserve by 0.7 million to 1.8 million.
- E** “In 2019 to 2020, he earned 195,000 and spent 942,000, reducing his remittable capital reserve by another 0.7 million to 1.1 million.
- F** “In 2020 to 2021, his earnings reduced to nil. It is therefore possible that as of today, Karim has no remittable clean capital, having exhausted his clean capital. If Karim's income remains at his current low level and if his UK expenditure needs to remain at their current high level, there is a risk of 45 per cent UK income tax on his remittances if he returns to UK residence before 6 April 2023.”
- G** So, the first element I am going to try and do in sequence and then, as I say, invite you to comment. So, Nadia says that your UK income met your UK expenditure. She says that your US assets, the property assets which have been rolled over into the current Wyoming properties, pre-date 2005. And then look at 3496.
- H** A. 3496.
- Q. 3496, please.
- A. Yes.

A

Q. She says that the outflows from your UBS account, your offshore money in Switzerland, which total approximately £12 million sterling.

A. £12 million.

Q. So that is the aggregate.

B

A. Which aggregate?

Q. If you look at 3496 and you add up all the outflows, and you converted it to sterling, then in broad terms ----

A. You just sum them up.

C

Q. -- it is 12 million.

A. You just sum them up.

Q. Yes.

A. And the inflows, you don't want to ignore?

D

Q. I am going to put a question to you, okay, and then I am going to invite you to comment, okay.

A. Sure, sorry.

E

Q. So we were just looking before at UK income, which has been spent in the UK. The US assets, which pre-date 2005, and then these monies, the outflows from UBS totalling £12 million, and Nadia says that there is no evidence anywhere on the balance sheet to explain what has become of £12 million which is coming out of UBS because it would not have come into the United Kingdom because that would have led to adverse tax consequences because it would have been a remittance, and your UK income was sufficient to meet your UK expenses. It was not being used in America in order to purchase American assets because those were already in situ, and subsequently were rolled over. And your explanation is at 3467.

F

A. 3467.

G

Q. 3467. Yes, I provided this.

Q. You say,

H

“From the period ... prior to our separation, the family's expenditure and lifestyle, which is one of excess of our affordability, was funded in part from the US investment portfolio. Throughout these proceedings Nadia has been provided with updating disclosure with respect to the investment balances since Form E. There is no £12 million pounds missing that Nadia is alleging.”

A

And then you provide some examples, which is transfer of funds to other accounts, investments into the temporary CIS, payment of premiums on the Penn Mutual Policy, Saxo Capital Markets, Hydra, Aqua, payments for professional services, payments of tax liabilities. Nadia does not accept that. She says, in summary, UK income met UK expenses; the US assets already in situ; and the UBS money, which we see in 12 million sterling terms going out, is not accounted for by those relatively modest investments listed at paragraph 11, and you certainly did not bring any into the UK because you would have had to pay 45 per cent, had you done so. So, that means that the money is out there somewhere in this form of this second balance sheet, and that is her case in this respect. Is she right?

B

C

A. No.

Q. Can you explain what has happened to the 12 million ----

D

A. Yes.

Q. -- with more precision than you can do at paragraph 11 ----

A. Yeah.

Q. -- because she does not accept that.

E

A. So first of all, the money -- So, the reason I left the UK in 2018 is because I ran out of clean capital, because we were outspending -- we were spending way too much money. And Nadia knows this, but -- so I left through these automatic rules, which is if you have an employment -- this is why Sphere Digital was instrumental in me being able to leave the UK without the ties that would have left me in the UK from a tax perspective. So I left the UK. This is a scheme that's used for offshore deep-sea divers, but if they are employed outside the UK, they can get paid in the UK, and the money is not taxable. That's why the 300 -- this is why there's a new -- there's a WhatsApp that Ms Campbell showed Nadia yesterday about the budgets, exactly what Sphere Digital was looking to pay me, and I discussed this with Nadia at length in February and March 2018, and I accepted the role to leave before April 6, 2018, so that it would start the clock, because I had sent already too much money to the UK, to Nadia and our daughters, because we had exhausted the clean capital that could be used.

F

G

H

Second of all, a lot of the money in UBS to clean the clean capital after having done an LDF ----

Q. The Liechtenstein Disclosure Facility ----

A. Correct. The Liechtenstein Disclosure Facility, when I did this, I had to provide to the HMRC every account, everywhere in the world, everything that existed in my name on the basis that if I had -- it could be criminal, if I had -- If I had done a remittance that was coming out of a modelled account, not a completely cleaned account, if I could not prove that it was clean. And so none of my accounts at UBS -- they were all messed up in the sense that the money was co-mingled between clean and unclean capital. Therefore, there was no way for me to prove that the money I was sending in for anything in the UK, any expenditure that I could not pay out of my Barclays shares that had expired already, was tax -- was not clean capital. Therefore, had I stayed in the UK, that remitted amount that I went through the exercise every year with my -- with Andrew Gammon would have been imputed by this tax that he talks about in his letter. And that's the driver for why I left the UK.

Now, I have shared already with my solicitors and my barristers the full list of exhaustive inflow and outflow out of my UBS account. The large amounts that you see, because we can go line by line, we can go -- I don't know how you prefer to do it. I could provide it if you want, but it is just ----

Q. Mr Zahmoul, if it is in the bundle ----

A. It's not in the bundle because it predates 2019. So, it's not in the bundle because I provided my UBS account in my Form E. This was the only UBS account I had, and it is a little bit what you say in the conduct statement. The historical transactions are taken into account in the balance that I got in the UBS statement, and therefore it is not, you know, some hidden balance sheet. All the money that you have seen was prepared by Andrew Gammon. The spreadsheet that was there is my exhausted income for the period 2005-2020. There is no other money that I was earning elsewhere except the earning from investments. So, one of the large ones that you see in that first paper you showed me on the UBS statement is I invested in an EIS scheme in the UK. So, when I was working at Temporis, I had invested prior to working at Temporis about a million pounds, which was a very significant amount of money. And that could come as capital that was offshore because it was an EIS scheme. And so I invested that, and then when it was repaid in 2017-18, and it was repaid, the scheme could stay in the UK; the gross had to go back to -- I mean, the capital that was invested could stay in the UK, and the capital gains had to go back to UBS. And so, I mean, each one of these amounts, the transfers, can be explained. So, I can send all the UBS inflows and outflows from 2012.

A

If the court orders, I'm happy to do that. I don't know if that answers your question. I don't know. There is no hidden balance sheet that I have.

Q. Nadia, if she was sitting here now, would have been turning around to me and she would be saying that if you look at the bottom of 3297 ----

B

A. 3297.

Q. Yes?

A. Yeah.

Q. She would be saying that during this 13-year window of time, you have earned 20; you paid tax at eight and a half?

C

A. Mmh.

Q. You spent, according to your tax accountant, about £9 million, meaning that there was about two and a half million pounds, which was clean capital in the UK as of 2016 to 2017; and that that was subsequently, because you were not earning enough, drawn down in order to meet your spend of £942,000 odd net per annum. so that by the time we get to 2020, it was exhausted. And she still cannot understand, if all of your UK expenses were being met from this source ----

D

A. No, what ----

E

Q. Just indulge me by letting me get to the end of the question, okay? She still does not understand why if all your UK expenses were being met from this source of income and clean capital, where the 12 million has gone to. She can see some of it having been spent because she understands that some of it has gone on the investment to identify at paragraph from 11 in your statement. But that still leaves several million pounds that she cannot -- and she has spent many hours looking through the disclosure-- she cannot find where that money is going. Are you able to explain to her where it is gone?

F

A. Yeah, I just told you. I can send you the inflows and outflow of UBS, which will tell you the recipient of the outflow from UBS and the incoming flows from UBS. So you are just summing up numbers for consecutive years without -- the balance of UBS never was 12 million, right? The balance of UBS was 1 million and then 1 million goes down and then goes up by 1 million. So it is the same money that is being recycled that you're adding up. I have never had £12 pounds sitting in an account in UBS when I made £20 million total in the space of 12 years -- £19 million total, and net was nine and a half million pounds. How could I have accumulated 12 million pounds? I don't understand the logic of how you -- what you're explaining.

G

H

- A Q. So, you say ----
- A. The sum -- let me try to ----
- Q. Of course.
- A. So I understand what you're saying, you're saying that the sum of the flows into a bank account is the stock that exists in the bank account. That's what you're saying. You're
- B saying that Nadia is saying -- she's an equity analyst; she's a pretty smart woman. You're telling me that the sum... So if you take year one, plus year two, plus year three, there's a balance on the account that's generated by money going out to an investment, coming back. Money going out, coming back, with interest or gain etcetera. And the
- C sum of all this is my asset? Is that how -- I mean, I am confused by what you mean.
- Q. So that's Nadia's mathematics, that ----
- A. Really?
- Q. -- it is 12 million pounds, of outflows from that account?
- D A. But doesn't that ----
- Q. That assumes that there is no reinvestment of those monies. Is she right?
- A. That assumes that there is no... I don't understand the question, I'm sorry.
- Q. I think that you ----
- E A. We have to be precise.
- Q. I am trying to be helpful. As I understand your response, you are saying that, yes, money goes out, but then that same money comes back in. So it is double accounting to add it all up to £12 million.
- F A. This is why I say in my statement, my conduct statement, that is what she does in crypto. That's what she's doing here.
- Q. So I am just seeking clarification?
- A. Correct. I believe so. I mean, you know, I can't explain what she's thinking. You're
- G asking me to explain ----
- Q. Well, I am putting it to you.
- A. -- to rationalise something that's irrational to me.
- Q. So, what I am asking is what happened to the money. I am not asking you to second
- H guess Nadia's approach. I am asking you to ----
- A. What do you think? The money was spent.
- Q. I have heard your answer.
- A. My Lord, can I just speak to my client because this is something which I know that

she ----

A

MR JUSTICE MacDONALD: Yes.

MR MOLYNEUX: -- would like me to. (After a pause) I have just got one more question.

MR JUSTICE MacDONALD: Yes.

B

MR MOLYNEUX: (To the witness) In this respect, not unfortunately for you totally. Is the position that none of the UK expenses were met using UBS monies?

C

A. Of course not. Many of the UK expenses were met using... I mean, she has seen this. In my financial disclosure from UBS, I have paid Stewarts. I have paid the school fees. I have paid... I mean, many of the expenses that we have had have been paid from the UBS money. When we bought the apartment in 2017 in New York, I mean, when we did the 1031 in New York in 2017, buying the Frost(?) Street apartment, and I had to pay \$500,000 of taxes that I got back from the 1031, that was paid out of UBS money. When we had to make deposits, when we put the \$750,000 in Bank of Jackson Hole as a deposit to get the \$5.72 million mortgage, and this came from somewhere! UBS was the source.

D

E

Q. I think I have described that as the final question. This will be the final question on this topic. The Barclay shares, which were another line item of non-disclosure in Nadia's conduct statement and her section 25 statement. Can you tell his lordship, in relation to the Barclays shares, where did they fall? Was that paid into UBS or is that PAYE tax paid in the United Kingdom, net within that £19.8 million figure we have been looking at?

F

G

H

A. Actually, everything in UBS was also part of the £19.4 million. I mean, basically what happened is, I was hired into Barclays through, it is called "a service level agreement" with Barclays Jersey. And so there was a contract where I was seconded to Barclays Capital from a Jersey company. All my money -- that's why my bank account, my 281 account that Nadia said she had access to for some time (but not all the time) was a Jersey-based account and therefore fell outside the onshore UK. So money was sent there and then in the initial years, when I could have the non-domiciled, the non-ordinary resident status, for the days I was outside the country I could segregate the money and send it to UBS so that I could use the money in the 281 account, but it was 589 that paid the 281. So on June 24, in the questionnaire, there was a request to give every single, and I think in my conduct statement I have it in an affidavit -- I don't know where it is -- as an exhibit. I am not sure where it is, but I am sure you know, Mr

A Molyneux. I provided the exhaustive list of all the share awards, whether it was RSU,
restricted stock unit, CVP or CVA, cash value -- cash value something. Barclays was
doing a lot of tax with the compensation of employees, and every year we had a different
B acronym for what we were getting paid in. And I was paid in a -- so you were paying a
portion of the 50 per cent, 60 per cent, or even less at the end, in cash and the rest was
three-year vesting, RSU, VSU, CVA, or whatever the acronym was. The whole
C exhaustive list of everything that we use between '14 and '17, because it was a three-year
vesting -- I left Barclays in July '14, my last bonus was therefore received in February of
2014, and the portion that was not in cash was in shares or restricted share units. This
was paid to me over a three-year period. And I was told by, this is the ITIPA, what he
D writes -- I think that's what he writes about here, this was why I could not leave the UK
to go to Portugal because no matter, if I went to Portugal, I was still taxable at 45 per
cent because the income was earned as I was an employee of Barclays Bank in the
United Kingdom. Therefore, I was going to be taxable for all the proceeds of the
E unvested shares. So, that money was paid into my Barclays 589 account, and then that
was used to live. We lived way beyond our means for that period of time. And all that
has been provided as exhibit to the questionnaire in June 24, 2021. So the whole
F exhaustive list of all the shares that was gained and the money, the proceeds of that, and
that went into Barclays. And that's what fed us; that's what allowed us to live the way
we lived, unfortunately, way above our means between 2014 and 2018, when I changed
career completely. I left banking, I went into renewable energy. I worked for
G Temporis Capital, which was the entity that I made two EIS -- two VCT investments and
one EIS investment, Ventus 1, Ventus 2, and VCIS, which is wind farms in the UK --
and it was exhausted. So, it didn't go into UBS.

Q. Thank you. Can I ask you some questions about Gemini?

A. And I am happy, sorry -- I apologise for cutting you off. I am happy to provide, and this
is further disclosure, but if it helps, quell Nadia's -- I don't know what to say, call it -- I
am happy to provide what I have provided my solicitors and my barristers the list of all
the cash flow, the inflows and outflows from the UBS account, if that helps. I have no
H problem with that.

Q. My Lord, I can hear murmuring from behind. Can I just ----

MR JUSTICE MacDONALD: Yes.

A

MR MOLYNEUX: Mr Zahmoul, thank you. I am going to move on. I want to ask some questions about Gemini. Could you look at 751, please? Again, to contextualise this, okay, so you understand where the questions are going and his Lordship understands what the importance of the questions are, Nadia says that you criticised her throughout these proceedings and your solicitors have criticised her throughout these proceedings for suspicions, for making allegations of non-disclosure, that there are some other evidenced examples of you not having told the truth about your resources, okay?

B

A. Sure.

C

Q. I want to explore this in relation to Gemini?

A. Please do.

Q. If you look at 751, you will see your Form E?

A. Yeah.

D

Q. Can you see there ----

A. Yeah.

Q. Tell me when you have got that.

A. I am there.

E

Q. So it is a pretty broad descriptor at 2.4.

A. 2.4, yes.

Q. The rubric says:

F

“Details of all investments, including shares, PEPs, ISAs, Teslas, national savings, investments.”

It is a bit out of date; it does not mention cryptocurrency, but it is caught there within investments.

G

“Other than already shown above, bonds, stocks, unit trusts, investment trusts, gilts and other quoted securities that you hold or have an interest in.”

H

So, it is not just the things that you own, it is so that the court completes the totality of your disclosure. It is things that you hold. Yes. You accept, I think, that your completion of the form, paying attention to that, was incomplete because you did not reference your holding of cryptocurrency and Bitcoin in Gemini.

A. Correct. No, I did not... No, let me be clear. The Gemini account was no longer mine on March 21. Okay. It was legally mine from a ledger perspective at Gemini, but I had gifted it to my sister. So, it was not mine.

- A Q. Not in March 2021?
- A. Yes, we gifted it in December -- November 2018. This is her wedding date. She got married. My sister's 56. She got married in December 2018, which is when I gifted it to her. Now I could not, as I explained in my March -- in my April 10 statement, I gifted it to her. I explained this on June 14. I don't know if you can go to -- if you could find the -- I would love to show you this because this is important.
- B Q. Tell me the documents and maybe it is one that we are going to go to anyway.
- A. April 10, 2023. This is a statement I made in answer to the February 28 affidavit of Nadia.
- C Q. You can be assured that we will go there?
- A. Okay.
- Q. Also, if we do not, then I do know Ms Campbell will take you.
- D A. So, if I can explain one of the paragraphs, I forgot which one, there's a link to the video with Mr Pinto on June 14, 2022. There was a call and Mr -- Nadia had forced the document that she had taken.
- Q. I want to be fair to you, okay? If you want to refer to that document, you will find it ----
- E A. Yes.
- Q. -- because this is your response to Nadia dated the 28 April, 2023. Is that the one that you are referring to?
- A. No, I am referring to the one on 10 April. My document on 10 April, 2023.
- F MS CAMPBELL: 2131.
- MR MOLYNEUX: Sorry, could you repeat that?
- MS CAMPBELL: 2131.
- MR MOLYNEUX: 2131, if you want to look at it.
- G A. 2131?
- MR JUSTICE MacDONALD: Yes.
- MR MOLYNEUX: I suspect we are going to come on to it anyway, but if there is something that you want to show his Lordship now, we can deal with it that way.
- H A. Yes, 2131. I would love to go at that.
- Q. 2134, I think, is the paragraph that he wants to reference.
- A. So, if you have the electronic version, I guess if you do, then there's a link there which shows the whole conversation. Where is it, 24? No, that's not the one.

A Q. I rely on Ms Campbell. She tells me it is 2135.

MS CAMPBELL: It goes over the page?

B A. Okay. Exactly right. So, paragraph 27. So, one year later, during the Zoom -- so this is -
C - my initial response was on June 14, in pages 88 and 95 of this document. I don't know
D what that's in this. I explained that this Gemini account was no longer mine. That's
E what my solicitors wrote to her solicitors, because it was no longer mine. Now, I may be
F wrong legally, but it was gifted to my sister. One year later, during the Zoom call on
G June 14, 2022 -- this is the Zoom call that Withers tried to derail, and then we ended up
H having it because there was a lot of pushback. We had to go to Judge Koch(?). This is
the first call with the single joint expert. So Marlon Pinto in attendance; I explain I am
in the 3458 to 3530, that the Gemini account was a former account of mine, and on
November 8, 2018, I had gifted it to my sister, Layla Zahmoul, as a wedding present.
The transcript of the relevant section are in paragraphs 96 and 98. And then there's a
link where you can listen to the conversation. If you go to minute 35, you will see me
telling Marlon Pinto, Nadia in attendance, Mr Sibenik in attendance, and the crew of
Withers, that this was no longer my account.

E Now, then, because of COVID, because of many things that happened, my father's
F passing, many things that happened between 2018 and 2022, I was only able to legally
get my sister on the account in April or May -- in April, I don't remember the exact date,
of '22. That's the story about the Gemini account. Sorry. I had gifted my daughters
one Bitcoin each, one in 2014 and one in 2017. I had gifted Nadia. Nadia wanted to
have some of her crypto as well. I gave her in December '17 a quarter of a Bitcoin.
And, you know, as Mr Pinto had shown, I was quite force it. I was pushing. I mean, I
believed in crypto, and I was an early adopter.

G Q. Because your case is that Nadia has behaved unreasonably and that her suspicions have
been unreasonable in relation to your disclosure, and because her case is that you have
not made complete disclosure, we are going to have to do it a bit more methodically?

A. Sure.

H Q. So I understand that that is the thrust of your case, but I want to take you to the
documents ----

A. Sure.

Q. -- so that his Lordship can see how you presented earlier on and how Nadia's suspicions
developed as a result. So, if you look at 751, we have just looked at ----

A

A. 751, yes.

B

Q. -- you will see that you are asked to produce details of investments that you hold or have an interest in. Do you agree with me that although you tell his Lordship that you do not have an interest in those cryptocurrencies within that account, that you did hold them and thus they should have been caught by this -- albeit with your explanation: I have got no interest in them?

C

A. I don't believe I had interest in them.

Q. Yes?

A. I genuinely believe I did not have interest in them. I gifted this to my sister. I did not believe I had an interest.

D

Q. But there is a distinction, is there not, between things that are in your name, things that you hold for somebody else, and things that you do not have anything to do with at all. And here you had an account in your name, nobody else's name, which you tell his Lordship you were holding for somebody else. And it should have been in there, should it not?

E

A. It should have been in there? I mean I beg to differ, but ----

Q. You can look at the columns, can you not, which explain really, that that must be true, because you have got the name of the investment, the type of the investment, the size of the holding, the current value, the name of any other account holder, if applicable, and the total current value of your interest. So, if it has got current value and total current value of your interest, it would be totally otiose if you were only expected to put things that you had a beneficial interest in, would it not?

F

A. Actually, Mr Molyneux... Yeah. It's -- I probably would have described it better. Maybe I would have said I have this, but it is not mine -- something like that, like I did with the Olivia stuff. Probably it should have been done like that.

G

Q. Okay. Look at 148, please, because ----

A. 148?

Q. 148.

H

A. 1408, no?

Q. No, it is 148?

A. Oh, sorry. Yes.

Q. So here we have a series of questions which you were asked in May of 2022 about "deficiencies in your client's disclosure". And on 25 May 2022, at question number 6,

A “In accordance with your client's ongoing duty of full and frank disclosure, I should be grateful if you would also now reply to number six: details of any NFT cryptocurrency in which your client has or holds an interest either in his sole name or jointly with others.”

The reply to that you will find at page 152.

B A. Yes.

Q. Answer 6,

C “My client's experimented with a couple of NFTs of negligible value. This will be covered by the crypto experts. They are held in his Betamask wallets, his Xerian account. and details on the spreadsheet.”

Go back to page 148, look at question 12.

D “Details of any trading activities undertaken by your client on behalf of third parties and/or institutional investors, details of which have not been disclosed.”

And your answer, page 152. Question 12:

E “My client has not undertaken trading activities on behalf of third parties and/or institutional investors, save for the Cheer(?) venture. This statement will deal with the false allegation in respect of a crypto fund.”

No mention here ----

A. I didn't understand this.

F Q. So “Details of any trading activities undertaken by your client on behalf of third parties and/or institutional investors, details of which have not already been disclosed” -- and you say at page 152, question 12: “

G “My client did not undertaken trading activities on behalf of third parties and/or institutional investors, save for the Cheer Venture. This statement will deal with the false allegation in respect of a crypto fund.”

Then finally in this regard, look back at 149 because you were asked about question 16,

H “Details of any other relationship that your client has with centralised exchanges, crypto banks, DOAs, mining ventures, or any other type of entities and/or activities that he has not yet disclosed.”

And your response to 16 -- this is page 152:

A “My client not understand the question, but he has disclosed all his crypto assets.”?

A. Yes.

Q. The thrust of this is: have you made full disclosure about your relationship with crypto, with any holdings you might have on behalf of any third party?

B A. Yes.

Q. And you do not make any mention at all to your solicitor. Why?

A. Because I didn't think that was -- I mean, I didn't think that was the right -- the answer for this. As I just pointed to you on, I guess, June 14, I just said what it was. I didn't think it was my account. It was my sister's account. And you know I, in earnest and honestly, believed that what I was saying is correct.

C Q. You had an opportunity in the Form E to refer to any holdings that you had, as opposed to any beneficial interest that you might have. You have had an opportunity here to refer to any holdings, any trading holdings that you have on behalf of any third party or any relationship with any other exchange you have not disclosed, and you do not take advantage of this -- just to say, well, I do have these 5 Bitcoin, but they are held on behalf of my sister. They are worth \$100,000 (or whatever it would be at that point) but they are nothing to do with me. Why?

E A. I don't know. I can't tell you why I didn't do that. It was not an attempt to mislead the court or mislead Nadia. It was just that I didn't believe they were mine and so I didn't -- I didn't put it there. It was my sister's account.

F Q. Just look at 861 please?

A. 861?

Q. 861

MR JUSTICE MacDONALD: 861, yes.

G A. Yes.

MR MOLYNEUX: At 861, question 9.5, you were asked:

H “Please confirm whether the Respondent has made any further investment, private equity or otherwise, which have not yet been disclosed. either in his own name, or in the joint names of himself and another, or in the name of a nominee for him, or in which he has a beneficial interest, and if so, provide full details to include the extent, nature, and value of his interest, and response to the questions raised in 9 in so far as relevant together with documentary evidence.”

A

This is from February 2022, and it is a further nudge to say to you: if you are holding anything, then put your cards on the table. If you have got no interest in it, then you can make that play in the body of the answer. Why did not you do it?

A. I don't know. Maybe I didn't read this properly maybe -- I don't know. I didn't think it was mine like as I said.

B

Q. Mr Zahmoul, can you see ----

A. This is overwhelming, Mr Molyneux. The process has been traumatic so I don't know why I didn't do that. Just like the Form E, as I said before it was my first Form E; it was done in a month and the mistakes in it are honest mistakes. They're not ----

C

Q. Can you understand that the aggregate of these things ----

A. No, I don't understand.

Q. The adding together of these non-disclosures or these inadequate answers have fuelled Nadia's concern that you are not telling the truth about your total disclosure and that that was reasonable for her to think. Do you agree with that?

D

A. I could agree with that if the background was not that I offered -- I don't know how many times, 100 times, that I would meet with anyone that she wanted, anybody, anywhere, anytime, to answer any of her questions, any one of them. My first email to Ms Bloom was to offer to me. Then I have sent 15, probably, letters which each letter had a sequential -- they were numbered sequentially. But this is first attempt -- my second request, my third request, my fourth request, to me to explain and elucidate anything that Nadia would like. With your shadow expert, with yourself, with the tax

E

F

person, with Ms MacGregor. I mean, I was trying to make sure that she was comfortable with everything. So it is difficult to hear today that if I understand that she feels this way. I don't, and I have the benefit of 27 years' of behaviour. So, it is difficult for me to take these questions when I was trying to have an open communication. I went to see her father in Morocco. I spent time with her brother, her father, anybody she wanted to have an intermediate. So it's difficult to hear this grilling.

G

H

But look, you're pointing out pitfalls in my answers, which I guess are genuine pitfalls, but it was not trying to hide something. It was just, you know, an answer in the way I read it literally or I didn't read it properly. And actually after that, when I was on the phone with my lawyers when I said on June 14, it was just -- I just said exactly what it was on the conversation, and we didn't look back and say: oh, you didn't do this correctly in this answer. I'm sorry that I got it wrong.

A

Q. One of your criticisms of her is that she did not take advantage of the opportunities to discuss things direct or for her advisors to discuss things direct with you?

A. Agreed.

B

Q. That is one of the things you have just said to his lordship, okay? But I am going to be submitting to his Lordship, and I want to give you the opportunity to comment on this, to answer my question. A bit like fidelity in relationships, when trust is gone ----

A. Fidelity?

C

Q. -- when trust is gone, it is very hard to get back, is it not? And for Nadia, the scale of what she saw as your non-disclosure, your dishonesty in relation to Coinbase and then Gemini -- and we are going to look at Xapo in due course -- meant that she could not engage with these invitations by you to take you at your word and ask you questions. That was reasonable, was it not?

D

A. No.

Q. It was not reasonable. Just look at ----

E

A. The invitation to engage was not to take me at my word. It was to answer her questions. As you have seen here, every question was answered in a submission on the day of the *ex parte* application. I mean, we wrote to her... Chris (Inaudible) wrote to her to try to engage with Ms Bloom at the time, and there was no discussion. And then she comes in on the day of the hearing, filed an *ex parte*, and there goes the final hearing. Then we go into... We have gone to the PTR, and the day of the PTR, I get an application, which is a conduct meeting, which is all more questions on accounts. This has been the theme from the get-go.

F

Q. So I think the answer to my is that you do not think it was reasonable for her not to engage in the way that you would have wished to engage. I mean, that is your answer?

G

A. I think so, yeah.

Q. Okay?

A. That is right.

Q. We will look at 2235 next, please?

H

A. 2235.

Q. So this is a breakdown ----

A. Yes.

Q. -- of the *Imerman* material that your solicitors had analysed and at number 51, at the very top of 2235, they describe in the details that they have reviewed and they say:

A

“The print out listed of Coinbase, Multibit class of Gemini KZ which is enclosed. Our client's Coinbase account is disclosed in his Form E. Our client no longer holds Multibit or Gemini accounts and has not for many years. The Multibit platform no longer exists.”

B

You knew at the time that this was produced, which was the 24th of June 2021, that you did have a Gemini account, albeit you say had your name on it, but was actually your sister's beneficial entitlement. Why did you not tell them, to express it in those terms, because this is misleading?

A. I didn't think it was misleading. It was not my account. It was my sister's account.

C

Q. You do not think that is misleading?

A. Well, you can put it like this, I guess, Mr Molyneux. It was not my account.

Q. Could you look at 2134 please?

A. 2134?

D

Q. Do you have that? 2134?

A. I'm looking at it, yeah. 26.

Q. So, 2134?

A. 26, right?

E

Q. Paragraph 26, yes.

“In my initial response to the first questionnaire, *Imerman*, I submitted to Nadia's counsel on 14 June 2021. I stated that the Gemini account had once been mine but was no longer mine.”

F

That document to which you are referring you will find at 2235. Okay, so what you say about the Gemini allegation:

G

“In my initial response to the first questionnaire in *Imerman* submitted to Nadia's counsel on 14 June 2021, which is the document I am going to look at, I stated that the Gemini account had once been mine, but it was no longer mine.”

The Gemini account?

A. Yes.

Q. What you actually said was:

H

“Our client no longer holds Multibit or Gemini accounts, and has not for many years. The multi-platform no longer exists.”

You were not referencing a specific Gemini account which was yours, but had been transferred into the name of your sister, as you suggest?

- A. Yes. Why not?
- A Q. What you had originally done is just deny that you continue to hold *any* Gemini accounts. You did not say: ell, I did have one, but I have now transferred it, or I am about to transfer it?
- A. Mmh.
- B Q. Again, why not provide more clarity rather than more obfuscation, more confusion?
- A. Look, yeah, I think I provided clarity on June 14 when I was on the call with the Crypto expert. I thought ----
- Q. Can I ask you to keep your voice ----
- C A. -- I am sorry.
- Q. I am struggling to hear.
- A. I'm sorry. No, I believe on June 14, 2022, when I spoke to the Crypto expert with Nadia and her solicitors and my solicitors and the shadow expert, I believe I said it was an account that I transferred to my sister in 2018. I didn't think that, you know, 2018 -- this was 2021 and I didn't think it was mine.
- D Q. In June 2021 when your solicitors produced that analysis of *Imerman*, okay you knew that you had a Gemini account which was in your name which had 5 Bitcoins in it, did you not.
- E A. I knew that I had a Gemini account. I had gifted it to my sister, and therefore it was no longer mine, but legally from a title perspective, it was mine. I guess you could say that, but I did not see it as my account.
- F Q. From a KYC perspective, as far as Gemini were concerned, it was your account, your name, your beneficial entitlement, as far as they were concerned, correct? Just look at 2135, please.
- A. 2135, yeah?
- G MR JUSTICE MacDONALD: 2135.
- MR MOLYNEUX: 2135?
- A. I am there.
- H Q. You say at paragraph 30. Actually, paragraph 28, you start by saying:
- “When I gifted the account with 5 Bitcoin in November 2018, the account had an approximate value of \$27,500 US dollars. Today the worth has a value of \$125,000. This is immaterial compared to the cost of the litigation. Instead of transferring Bitcoin to a standalone wallet, I chose to gift my sister the actual account to ensure that she

A would never lose the Bitcoin and that I could protect her from losing Bitcoin. It is not uncommon for people to lose their Bitcoin because they misplace the wallet's primary key or the access code. In fact, Nadia lost her wallet credential that included 0.25 of Bitcoin, which I sent her on the 25 December, Christmas Day 2017, from my Coinbase wallet to her wallet address. My sister, who resides in Tunisia, faces difficulties with Know Your Customer (KYC) procedures in Europe and the US, as she does not have a proof of address. This challenge prolonged the process of formally making her the owner of the Gemini account. In early 2022, after adding her to my lease in portal and opening a European bank account for her, I successfully completed the Gemini KYC process. I have maintained my presence on the account to assist my sister if she requires help accessing the coins or if she loses access to the account.”

C Okay, so that is your explanation. In 2022, you were able to do this because she had been added to your lease in Portugal and you had opened a European bank account for her. Look at page 128, please, because I am going to be suggesting to you that this is a fictional explanation?

D A. Okay. 128.
Q. 128. So, this is an order which is dated 16 May, but it relates to a hearing that took place on 4 March. If you look at 125, this was the hearing for HHJ Koch.

E A. With yourself.
Q. With me?
A. Yeah.
Q. 125. You see that the hearing was dated 4 March, although the order was not finalised because of disputes about the drafting and the identity of the crypto expert until May. But on 4 March, the judge made a determination, did she not? And we see that at 127, Part 25 applications?

F A. Yeah.
G Q. Paragraph 10.

H “Single joint expert, crypto assets: The parties should jointly instruct Marlin Pinto ... to provide a summary of all the Respondent's holdings and dealings to include mining activities and return on such activities and decentralised financial activities including staking, lending, liquidity providing and crypto assets from the 1 January 2019 and the following provisions shall apply....”

So, on 4 March, the judge made a determination that there would be a crypto expert appointed to review your crypto holdings, correct?

- A. Mmh.
- A. You initially opposed that, did not you?
- A. Not opposed that. I -- well, initially, you mean -- when exactly do you mean by "initially"?
- Q. Well, at previous hearings when that had been asked for and on that day until it made sense to agree because the judge made plain that she was minded to seek ----
- A. To be honest, Mr Molyneux ----
- Q. -- a direction.
- A. -- it is very difficult for me to understand at the time what was going on and how things were going. It was very hard when we were living offshore to understand everything that was going on. So, I felt that the single joint expert was imposed on me, and that I was told for a month and a half that I had agreed to CipherBlade, and as you made -- when you came in front of Judge Koch, she said that she had agreed to CipherBlade herself, and she pointed out to you in the transcript that she had not made a determination on that. And that's how we ended up with another day, I suppose, with CipherBlade. But I was taken aback on the March 4th hearing, and on May 16th, when we went back in front of Judge Koch, that is when she agreed to CipherBlade -- to another day because CipherBlade was considered a very flimsy entity.
- Q. That was meant to be an uncontroversial proposition from me, okay? On 4 March the judge said that there must be a cryptocurrency expert and that was not something that you had wanted?
- A. Yes.
- Q. That is all I was saying. Can we agree on that?
- A. Yeah, well ----
- Q. Only agree if it is true. I do not want to ----
- A. You are.
- Q. -- pressure you into saying something that is not reflective of your evidence. Is it true?
- A. That I pushed back on a crypto expert?
- Q. Yes. And that the judge made this decision on 4 March.
- A. I reluctantly agreed to a crypto expert on March. That is true.
- Q. Look at 2724, please.
- A. 2724?
- Q. 2724?

- A. Yes.
- A Q. So, remember the chronology. On 4 March the judge, for the first time in these proceedings, agrees to Nadia's request for there to be cryptocurrency experts to review your holdings ----
- A. Yeah.
- B Q. -- of cryptocurrency okay. On 12 March so 8 days later -- 2724 -- we see you contacting Gemini. You say,
- C "I have moved to Portugal but cannot change the address on the site. I also need to change the account to include my sister. The account should be Leila and Karim Zahmoul."?
- A. Yes.
- Q. And then it continues,
- D "Thanks for reaching out to Gemini. Taking a look at the system, it seems that the address Zahmoul@gmail.com is not associated with a Gemini account."
- E And then they have to go through various procedures in order to make sure that you can access it. So, that is 8 days after the judge says that there should be a cryptocurrency expert. Your explanation is that you have moved to Portugal but cannot change the address on the site. You moved to Portugal in 2020, did not you?
- F A. Well, this is what we -- this is what you said yesterday, right? But if you recall, 2020 was.. Actually this is what I wanted to clarify this morning that I wasn't allowed to do.
- F But essentially, in 2020, when -- in March -- in February 2020, I came back from the US. I had lost my job with Sphere Digital, and I needed to find a place to reside, not to go back to the UK and be taxable in the UK on remittances, and everything else. So I went to Portugal, met with Deloitte, and Deloitte informed me that its law was
- G changing. So I rushed to find some place to rent that I could rent temporarily until I found a more permanent accommodation. And so I went... To register a contract in Portugal, you need to actually go to the parish; you need to go to the city hall; you need to do postal(?) things, and so we had to go through all this process. And then we
- H had to get an approval from the government, and it starts a clock of 10 years for this NHR status. The reason I am telling you this is then I left Portugal, and then went to the UK to see -- to spend time with the girls, and it was March 13. On the 17th, the lockdown happened for Covid. So I was in Portugal from March to June 6th, and then

A

we flew to the US. And I spent 90 days in the US. I lost my ESTA because I overstayed to stay with Nadia during her surgery in the hospital there. And then I went back to Europe. In October, my father passes away. Then I basically -- I am not in Portugal. I

B

stay with my sister to deal with my father's passing and the funerals and everything that has to happen. I am in Tunisia until January 21 -- that ominous date in which Ms Parker sends me this email that's saying that Nadia wants to keep the date or keep the UK as a jurisdiction because of Brexit. We go back and forth, and then I decide to go see her father, and I establish myself in this dead zone in Morocco called Daklah(?) where I am

C

trying to be isolated, and that takes me to the rest of -- to May 21. Then I ended up in the US and travelling as Nadia, accuses me of spending incredible amounts of money doing that. And so I did not really... I moved... So this is to answer your question, Mr Molyneux -- I am sorry if I'm being too long in my answering. This is to... So there was no time to actually do anything with my sister before that, to set her up, to do anything.

D

Q. No time. No time between 2020... Is that really your evidence?

A. Yes, that is my evidence, yes.

Q. Okay. So I am going to have to put this to you in direct terms?

A. Okay.

E

Q. This was an insurance policy, was it not, because on 4 March ----

A. Where's the insurance policy?

Q. Just listen?

A. I am trying to understand what you're saying.

F

Q. This was an insurance policy?

A. What was?

Q. If you listen to the rest of the question and you have got any questions at the end of it, then you can ask me, okay. But for the time being, just listen. This was an insurance policy because on 4 March, the judge had made an order for the first time which mandated an expert investigation into your holdings of cryptocurrency?

G

A. Mmh.

H

Q. This was a holding of cryptocurrency in your name that you had, despite repeated requests, not told anybody about. Eight days later, so eight days after the judge has said there is going to be an expert report, you, for the first time in four years, take steps to get your name if not off the account, then into your sister's name as well, so that you can

A

distance yourself from the beneficial ownership of that holding and maintain the fiction that it was hers all along. That is what you were doing?

A. No.

B

Q. And so when I refer to “an insurance policy”, this was to make sure that if the crypto expert spotted it, you would have an explanation as to why you have not told the truth about it in the first place. Is that not the reality?

A. No, it’s not, no.

Q. It is just a coincidence that 8 days later you decided to do something that you could have done at any point in the previous 2 years.

C

A. It is not a coincidence. It is just that -- it’s not a coincidence at all. It’s something that I had planned to do and I never got to do. My sister provided an affidavit and I, you know, it is just between my sister and I. Nadia knows this. There was never any issues.

D

I mean, I have supported my sister her whole life. I have supported my parents at the end of their life. I am not sure... You're right that it happened sequentially, and it needed to happen, and I had to make it happen then, because if exactly what happened happened, then it was going to be in my name, and it would have been like even more dramatic.

E

Q. Mr Zahmoul, look at 3194.

A. 3194.

Q. Before we look at that, but when you get there, I have got another question.

MS CAMPBELL: Sorry, what page?

F

MR MOLYNEUX: 3194?

A. 3194.

Q. It is correct, is it not, that you did not disclose the existence, even once placed into the joint names of yourself and your sister, of the Gemini account?

G

A. 3194.

Q. Yes. Before we look at that -- I am not asking you a question about that yet. I am just asking you a question. It is correct, is it NOT, that you never, even after the account was transferred from your sole name into the joint names of yourself and your sister, that you never disclosed it.

H

A. In what sense?

Q. In every sense. In the sense that you never told anyone about it, and it took Nadia to obtain a subpoena, at significant expense, in America in order to reveal its existence.

- A. Didn't I just walk you through the first call with the crypto expert?
- A. Answer the question.
- A. I don't understand. Sorry, I am missing something -- the spin.
- Q. The question is: you never, within these proceedings, made a voluntary disclosure of the existence of this account with 5 bitcoins in it in your name, then in your name and your sister's name. It required Nadia to obtain that subpoena, at considerable expense, in America ----
- A. Not at all.
- Q. -- for you to admit it.
- A. How can you say that? I just showed you in June 14, 2021 that I disclosed it. I have the transcript and I have everything. How are you saying this? I don't get it. I mean, I just went through it. June 14, 2022 is when I disclosed it. The subpoena was in 2023.
- Q. We are going to look more closely at what you were accepting and what you were referencing in a moment?
- A. Okay.
- Q. But your answer is that you do not accept that; that you volunteered it before Nadia obtained the subpoena.
- A. But I believe June 14, 2022 is when I told Nadia and her team and the crypto expert, June 14, 2022. Nadia started proceeding in the US in end of 2022 and she got a subpoena in February 28. I guess she disclosed a subpoena in February 28, 2023.
- Q. Look at 3194 on 29 June ----
- A. 3194, yes.
- Q. On 29 June. "Dear Caroline, I wrote to you on 22 June with a number of questions in relation to your client's disclosure. His response was to write to my client with a subject heading 'Your lawyers are wasting money' ----
- A. Yes.
- Q. --
- “... and to attach a link to a paper in relation to SPACs. It is characteristic of him to allege in the face of being asked perfectly legitimate questions that my client is running up costs or in some way not justified imposing them. My client wishes to have no further direct communication with your client, save in so far as it is necessary in relation to our clients' daughters. She finds his correspondence oppressive and overbearing and his vitriol towards our client in correspondence with the girls' school offensive. She

A does not trust your client and has good reason not to, given the way he has engaged in these proceedings to date.”

That is a fair criticism on you.

A. Absolutely not. That is a hurtful, nasty email that got right under my skin every time I get them from Withers, and they were written purposefully to hurt is what I proposed to you -- is what I put to you. I’m sorry to say. And to be clear, the email that I wrote to her was because I disclosed, after the Coinbase incident, I disclosed that I invested in a SPAC -- that I became a -- sorry, that I became a director in the special purpose acquisition company in the United States, and I disclosed it on the 6th, which is when I signed the contract, but GT (Greenberg Turing) in the US filed something before I actually signed the documentation, and I received a letter that I did not disclose what was actually disclosed -- what I was actually disclosing. And I did not disclose because I was six days late in disclosing something that I hadn't originally signed. And then they were asking all kinds of questions on SPAC. And they thought I was getting remunerated. And they basically, you know -- and this perpetrating the judgment of Justice MacDonald on June 9 for the LSPO. When this was an attempt to actually explain what a SPAC was, and I sent her an email, if I recall correctly, where I explained this, and I believe that all these communication clients was very, very costly -- costly for what it was. And this is, again, this lack of engagement that I have been trying to articulate to you.

Q. Look at 2729, please.

F A. 2729?

Q. Yes. This is the continued correspondence with.

MR JUSTICE MacDONALD: Sorry, Mr Molyneux, what page?

MR MOLYNEUX: 2729, my Lord.

G MR JUSTICE MacDONALD: Thank you.

MR MOLYNEUX: At 2729, at the very bottom of that page, it is a message to Gemini that purports to come from Layla Zahmoul. April the 14th, but it is signed you. “Could you please advise as to how I can access the account? Thanks, Karim.” Why were you sending messages purporting to come from her?

H A. That's a good one. I don't know.

Q. You do not know.

A. No, I was with her, I believe, and I don't know. Actually, I don't remember.

A

Q. You do not remember. Okay. Let us just look at the one that you were referring to at 2239, which is ----

A. 2239?

Q. 2239. These are extracts from a conversation with Marlon Pinto.

A. 2239.

B

Q. This relates to June of 2022.

A. Yeah, June 14, 2022.

Q. So, this is after you had added your sister's name to the Gemini account.

A. It is, yes.

C

Q. Now you will see there, there is an account of the conversation which you had with Mr Pinto. A third of the way down:

D

“In the *Imerman* exercise (inaudible) all my devices I stored all the information that I had. I provided this to my lawyers with a note of everything she wanted to understand with articulated answers to those. The Gemini wallet was one of my wallets. I gifted it to my sister in 2018 for her wedding. She got married at 56. There were 5 Bitcoins in it, and I disclosed this to my lawyers. So it is outside; technically it is outside of the scope, but you know, I am...”

E

You do not say in this: I did this six weeks ago or less than six weeks ago. It was in my name up until then. You present this as being something that you divested yourself of in 2018 and that it predates any inquiries that the expert should be engaged in?

A. Yeah.

F

Q. That was wrong, was it not?

A. I don't believe it was wrong. I believe I did this... In the context of what I said here, I disclosed it. I said it to the expert. I tried to basically share it. I did not go into details as to when I did it.

G

Q. Look at 1998, please.

A. 1998.

MS CAMPBELL: My Lord, before Mr Molyneux asks the question ----

MR JUSTICE MacDONALD: Yes.

H

MS CAMPBELL: -- this is what I explained in my notes as an expert's report but it is not actually a single joint expert. This is the shadow expert.

MR JUSTICE MacDONALD: Yes.

A MS CAMPBELL: There has not been any permission for this to be adduced and I did
reference this at the start of my note -- that this should not be in the bundle.

MR JUSTICE MacDONALD: Yes.

B MS CAMPBELL: It has never been given permission. There has never been an application
for it to be adduced and I advertised right at the outset that this should not be relied on or
used in the bundle because there is no permission for it. Because it had been taken out
of the recent section 25 statement, I assumed there was no issue about it, but it appears
there might be. So, it may be that Mr Molyneux and I need to make submissions to you
before this is ----

C MR MOLYNEUX: I it is controversial, let us not look at it. I will ask a free-standing
question. I want to try and do this more helpfully.

MR JUSTICE MacDONALD: Thank you, Mr Molyneux. Yes.

D MR MOLYNEUX: (To the witness) So do not look at 1998, but answer this question.

E Nadia had concerns that she articulated to you and to Mr Pinto that there was a Gemini
account and that you had not disclosed any involvement with the Gemini account, which
is why you said to Mr Pinto: "Yeah, there is a Gemini account, but I gave it to my sister
in 2018 and that is before the ambit of the report." This was not pure voluntary
disclosure on your part; it was because you knew it was going to be found out, so you
might as well pre-emptively get your explanation in. That is the truth, is it not?

A. No. It is not the truth.

F MR MOLYNEUX: I am going to change topic, so maybe that is a good point, my Lord, at
which to draw stumps.

G MR JUSTICE MacDONALD: I think that is a good point at which to draw stumps, Mr
Molyneux. Mr Zahmoul, I apologise that we cannot continue and get a bit more of your
evidence done, but I have some other appointments that I have to attend to. It does mean
that unfortunately you will remain on oath over the weekend, which means you are not
able to discuss the case with other people. All right. We will commence again at 10.30
on Monday. Thank you very much.

H **(Adjourned until 10.30 a.m. on Monday, 26 February 2024)**

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Marten Walsh Cherer hereby certifies that the above is an accurate and complete record of the proceedings or part thereof.

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